



ANNUAL COMPREHENSIVE FINANCIAL REPORT

FOR THE FISCAL YEAR ENDED JUNE 30, 2024



Annual Comprehensive Financial Report of the

Pleasant Valley Community School District
Bettendorf, Iowa

For the Fiscal Year Ended June 30, 2024

Official Issuing Report

Mike Clingingsmith, Chief Financial Officer

Office Issuing Report

Administration Center

Introductory Section

INTRODUCTORY SECTION (Unaudited)

Table of contents	i-ii
Letter of transmittal	iii-x
Board of education	xi
Organizational chart	xii
GFOA Certificate of achievement for excellence in financial reporting	xiii
ASBO Certificate of excellence in financial reporting	xiv

FINANCIAL SECTION

Independent auditor's report	1-3
Management's discussion and analysis	4-16
Basic financial statements:	
Government-wide financial statements:	
Statement of net position	17-18
Statement of activities	19-20
Governmental fund financial statements:	
Balance sheet- governmental funds	21
Reconciliation of total governmental fund balances to net position of governmental activities	22
Statement of revenues, expenditures and changes in fund balances- governmental funds	23-24
Reconciliation of the statement of revenues, expenditures and changes in fund balances of governmental funds to the statement of activities	25
Proprietary fund financial statements:	
Statement of net position	26
Statement of revenues, expenses and changes in net position	27
Statement of cash flows	28-29
Fiduciary fund financial statements:	
Statement of fiduciary net position	30
Statement of changes in fiduciary net position	31
Notes to financial statements	32-58
Required supplementary information:	
Budgetary comparison schedule of revenues, expenditures/expenses and changes in balances- budget and actual- all governmental and enterprise funds	59-60
Schedule of changes in the district's total OPEB and related ratios	61-62
Schedule of the district's proportionate share of the net pension liability	63-64
Schedule of the district's contributions	65-66
Notes to required supplementary information	67-68
Other supplementary information:	
Nonmajor governmental funds:	
Combining balance sheet	69
Combining statement of revenues, expenditures and changes in fund balances	70
Schedule of combining balance sheet- capital projects fund- by account	71
Combining schedule of revenues, expenditures and changes in fund balances- capital projects fund- by account	72
Schedule of changes in special revenue fund, student activity accounts	73-74

STATISTICAL SECTION (Unaudited)

Statistical section contents	75
Financial trends:	
Net position by component	76-77
Expenses, program revenues and net (expense)/revenue	78-79
General revenues and total change in net position	80-81
Fund balances, governmental funds	82-83
Governmental funds revenues	84-85
Governmental funds expenditures and debt service ratio	86-87
Other financing sources and uses and net change in fund balances, governmental funds	88-89
Revenue capacity:	
Assessed value and taxable value of property	90-91
Direct and overlapping governmental activities debt	92-93
Principal property taxpayers	94
Property tax levies and collections	95
Debt capacity:	
Outstanding debt by type	96
Ratio of net bonded debt to assessed values	97
Legal debt margin	98-99
Direct and overlapping governmental activities debt	100
Pledged revenue coverage	101
Demographic and economic statistics:	
Demographic and economic statistics	102
Operating information:	
Full-time equivalent district employees by type	103-104
Operating statistics	105-106
Principal employers	107
School building information	108-109
Average salary by education level	110-111

COMPLIANCE SECTION

Schedule of expenditures of federal awards	112
Notes to the schedule of expenditures of federal awards	113
Summary schedule of prior audit findings	114
Independent auditor's report on internal control over financial reporting and on compliance and other matters based on an audit of financial statements performed in accordance with government auditing standards	115-116
Independent auditor's report on compliance for each major federal program and on internal control over compliance as required by the Uniform Guidance	117-119
Schedule of findings and questioned costs	120-123
Corrective action plan	124



**Pleasant Valley
Community
School District**

BRIAN STRUSZ, Ed.S.
Superintendent

BERNIE BRUSTKERN
Director of Secondary Education

MICHAEL L. CLINGINGSMITH, C.P.A.
Chief Financial Officer

TONY HIATT
Director of Elementary Education

LEANN ZINN
Human Resources Director

JILL KENYON
Director of Student Services

Belmont Administration Center

November 19, 2024

To School Board President Nikhil Wagle,
Members of the Board of Education
and the Residents of the Pleasant Valley Community School District

We are pleased to submit to you the Annual Comprehensive Financial Report (ACFR) of the Pleasant Valley Community School District (the "District") for the fiscal year ending June 30, 2024. This report has been prepared to conform to guidelines recommended by the Association of School Business Officials (ASBO) International and the Government Finance Officers Association (GFOA) of the United States and Canada.

Management's Discussion and Analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview, and analysis of the basic financial statements. This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it.

Management Responsibility

Responsibility for both the accuracy of the data and the completeness and fairness of the presentation, including all disclosures, rests with the officials of the District. To the best of our knowledge and belief, the enclosed information is fairly stated in all material respects and is presented in a manner which sets forth the financial position and results of the operations of the governmental activities, business-type activities, each major fund and aggregate of the remaining funds of the District in accordance with generally accepted accounting principles, (GAAP). It includes all funds of the District. The District is not included in any other reporting entity, nor are any other entities included within this report. All disclosures necessary to enable a reader to gain maximum understanding of the District's financial activities have been included.

Independent Audit/Legal Requirements

The Code of the State of Iowa requires an annual audit of the District to be performed by an accounting firm selected in a competitively bid process. The annual audit meets the requirements of the Code of Iowa, generally accepted auditing standards and the annual single audit requirements of Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). The auditor's report on the basic financial statements and combining and individual fund statements and other schedules is included in the financial section of this report. Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs and corrective action plans (if any) are included in the Compliance Section of this report.

All of the District's funds are presented in this report and have been audited by the District's independent certified public accountants, Bohnsack & Frommelt LLP, Certified Public Accountants. Bohnsack & Frommelt LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the Pleasant Valley Community School District's financial statements for the year ended June 30, 2024. The independent auditor's report is located at the front of the financial section of the ACFR.

Internal Control

Management of the District is responsible for establishing and maintaining an internal control structure designed to ensure that the assets of the District are protected from loss, theft or misuse and to ensure that adequate accounting data are compiled to allow for the preparation of financial statements in conformity with generally accepted accounting principles. The internal control structure is designed to provide reasonable, but not absolute, assurance that these objectives are met. The concept of reasonable assurance recognizes that: (1) the cost of a control should not exceed the benefits likely to be derived; and (2) the evaluation of costs and benefits requires estimates and judgments by management.

All internal control evaluations occur within the above framework. We believe that the internal accounting controls of the school district adequately safeguard assets and provide reasonable assurance of proper recording of financial transactions.

As a recipient of federal, state and local financial assistance, the District is also responsible for ensuring that adequate internal controls are in place to ensure compliance with applicable laws and regulations related to those programs. As part of the District's single audit, described earlier, tests are made to determine the adequacy of internal control, including that portion related to federal awards programs, as well as to determine that the District has complied with applicable laws and regulations.

Basis of Presentation

The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Government units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records materially conform to the Uniform Financial Accounting for Iowa Schools and Area Education Agencies issued by the Iowa Department of Education and Chapter 11 of the Code of Iowa. The chart of accounts manual is updated annually, and the District is materially in compliance with these requirements.

Profile of the District

The Pleasant Valley Community School District is proud to be considered the #1 school district in the state of Iowa (Niche – 2024 “Best School Districts in Iowa”). Our 720 faculty and staff serve more than 5,600 students in the 2023-2024 school year. Incorporated in 1962, our families live in Bettendorf, LeClaire, Panorama Park, Riverdale, unincorporated Pleasant Valley, Iowa and rural Scott County Iowa. In the 2023-2024 school year, the district operated two PK-6 elementary schools, four K-6 elementary schools, one 7-8 junior high, and one 9-12 high school. All buildings are air-conditioned and equipped with state of the art technology.

In the past decade, Pleasant Valley's certified enrollment (resident students) has increased by 1,249.3 students (29.1%), due in large part to our staff and families' commitment to excellence, but also thanks to community and business development. The influx of new families has strengthened our schools, adding new culture and diversity to our rich history.

The resident population of the Pleasant Valley Community School District was approximately 26,042 in the year 2020 according to the U.S. Census Bureau.

The District provides a full range of educational services for those attending the Pleasant Valley Community School District including basic, regular and enriched academic education, specialized instruction for handicapped children, vocational education and many individualized programs such as specialized instruction for students at-risk. There are no charter school relationships within the District.

The District is supported financially by state aid, property taxes, state and federal grants for special projects and local revenue. The District is governed by a seven-member board of education, serving staggered terms of four years. School elections are held in November of odd numbered years. The District is divided into seven geographical director districts. Each member of the school board serves a particular

geographical director district. The Board of Directors is a policy-making and planning body whose decisions are carried out by school administrators. The District is subject to the general oversight of the Iowa Department of Education. This oversight generally includes an approval process that reviews compliance to standards enacted by legislative mandate.

The combined financial statements include all funds, organizations, agencies, boards, commissions and other authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The criteria considered in determining financial accountability include appointing a voting majority of an organization's governing body, and 1) the ability of the District to impose its will on that organization or 2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District.

Budgeting

The District's Board of Education annually adopts a budget and approves the related appropriations for the General, Special Revenue, Debt Service, Capital Projects and Enterprise Funds in accordance with provisions outlined in the statutes of the State of Iowa. The budgets are prepared on an accrual basis, which details estimates of GAAP revenues and GAAP expenditures, and use of beginning fund balances, whereas the financial statements of the funds are prepared on either the modified accrual basis or accrual basis of accounting. A statement comparing the budget to actual receipts and disbursements is included in the required supplemental information in aggregate form for fund types for which budgets are required. For management control, the budget is reviewed on a line item basis. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund or fund type.

It should be noted that school districts have two levels of budgetary control. One form of budgetary control exists through the certified budget, which includes all fund of the District (the type of budget explained in the preceding paragraph). This budget is certified with the County Auditor and the Iowa Department of Management each year. Iowa school districts may not certify a general fund budget in excess of its spending authority.

The other level of budgetary control is the unspent (maximum) authorized budget and pertains only to the General Fund of the District. The maximum authorized budget is the total spending authority in the General Fund of the District. The unspent budget is a budgetary concept and is not equivalent to General Fund cash. It is imperative for users of District financial information to make this important distinction. The unspent balance is the amount of spending authority that is carried over into the next fiscal year. The unspent balance is a budgetary carryover and does not represent actual dollars (General Fund cash) or actual financial position (nonspendable, restricted, assigned or unassigned General Fund fund balance) of the District.

Economic Condition and Outlook

The Quad Cities region is a bi-state, six-county region comprised of Clinton, Muscatine, and Scott Counties in Iowa, and Henry, Mercer, and Rock Island Counties in Illinois with a population of 474,019 and is the heart of the Midwest, a proud, forward-thinking family of communities connected by one of the world's most renowned rivers, the Mississippi River.

The Quad Cities is within a 300-mile radius of 41 million people and just hours of major markets like Chicago, Minneapolis-St. Paul, Des Moines, Omaha, Kansas City and Indianapolis.

The Quad Cities is the home and headquarters of Deere & Company, the Fortune 100 icon and global agricultural equipment innovator, and more than 150 Fortune 500 & 1000 companies with a presence in the Quad Cities. It is where the major military installation, Rock Island Arsenal, operates and achieves its critical mission, supported by the QC advanced metals and materials manufacturing sector and thousands

of highly skilled workers. The Arconic aluminum manufacturing plant is located within the boundaries of the Pleasant Valley Community School District and employs approximately 2,500 employees.

The Quad Cities economic strength has grown over the past five years by 5.2%. Expanding businesses and companies new to the region – including Amazon and Fair Oaks Foods – have acted on their confidence in the Quad Cities economy investing a total \$1.5 billion in capital and creating more than 4,500 new jobs.

The unemployment rate in Scott County, Iowa averaged 3.7% between January, 2024 to September, 2024. This was lower than the national average of 4.1%.

As noted earlier, the District's certified enrollment (resident students) has increased in the last decade by 1,249.3 students (29.1%); however, the certified enrollment has declined in the count taken in October, 2023 (-18.9 students) and October, 2024 (-40.4 students). The last two year counts have decreased due to large graduating classes compared to smaller incoming Kindergarten classes. An enrollment projection done by Iowa School Finance Information Services (ISFIS) in November, 2022 projected an average increase in the district's certified enrollment of approximately 125 students per year for the ten years after the projection was completed in 2022.

Taxable valuations of property in the District continue to increase each year. The average growth in the District's taxable valuations (including tax increment financing (TIF's)) over the last ten years has been 5.3%. In the 2023-24 fiscal year (taxable valuations as of January 1, 2022), the increase was 4.3%. The Cities of Bettendorf, LeClaire and Riverdale, Iowa continue to encourage job creation and capital investment through the use of tax abatements offered to entities that contribute to economic development of the Cities.

The oldest school building in the District, Cody Elementary School, was originally built in 1954 and has been very well maintained, as have all of the District's schools. Other school buildings in the District have original build dates between 1959 and 2021.

The financial solvency ratio of the District measures movement and distribution of current assets. The financial solvency ratio represents a school district's year-end position after payment of all current and outstanding or accrued liabilities. Iowa Association of School Boards recommends a target solvency ratio within a range of 7% to 17%. The District's solvency ratio at June 30, 2024 is 20.3%, which is an increase from 17.1% at June 30, 2023.

The Iowa school funding formula is a complex formula that is pupil driven and increasing total spending authority occurs by increasing the number of pupils or increasing the cost per pupil. The district cost per pupil for 2023-2024 was \$7,733.

The Iowa Legislature has introduced a major change to the funding model for Area Education Agencies (AEAs), which support school districts with services such as special education, media, and educational services. Starting with the 2024-25 school year, funding for media and educational services will be allocated by the state on a per-pupil basis, flowing through districts rather than directly to the AEAs. During the 2024-25 school year, AEAs will retain 40% of this funding, while districts will control 60%. This shift allows districts the flexibility to either continue using AEA services or redirect the funds toward other necessary general expenditures.

By the 2025-26 school year, districts will receive 100% of the media and educational services allocation. At that point, they can opt to either use those funds for AEA services or spend them on similar services from other providers. The transition year is crucial for districts to assess their needs and determine how to allocate resources effectively. Meanwhile, special education funding remains largely with the AEAs, though 10% will be redirected to districts by 2025-26.

In addition to the changes affecting Area Education Agencies (AEAs), the Iowa Legislature also approved a significant update to the teacher pay structure. Starting in fiscal year 2024-25, the minimum salary for teachers will rise to \$47,500, with a further increase to \$50,000 by the 2025-26 fiscal year. Teachers with 12 or more years of experience will see their minimum pay increase to \$60,000 in the 2024-25 fiscal year.

and \$62,000 in the 2025-26 fiscal year. This increase in teacher salaries will require districts to allocate more of their budget toward compensation. The higher pay scale could also strain general funds if not supported by increased state funding, especially as districts gain flexibility in reallocating funds previously earmarked for AEAs. This combination of increased teacher pay and changes in AEA funding marks a critical period of financial adjustment for school districts across Iowa.

In recent years, the state of Iowa has faced an economic downturn that severely hampered its ability to fund schools at the same level as in prior years. The District has faced inadequate funding for state aid and other state-funded programs, and this has resulted in lower supplemental state aid. The supplemental state aid has often been complimented with increased enrollment allowing the District to not need to make budget cuts in recent years.

A nationwide labor shortage has made it increasingly difficult to retain and recruit qualified staff. Global supply chain disruption and significant increases in inflation have driven the prices of goods and services past projected budget allocations. As a result, local, regional and national economies, including that of the District, may be adversely impacted.

Debt Administration

As of June 30, 2024 the District had \$55,322,074 of debt applicable to its legal debt margin. This amount is well below the District's bonding capacity of \$197,121,797.

Long-term Financial Planning and Relevant Financial Policies

Financial Policies

The District invests in only those securities allowed by the Code of Iowa, Chapter 12C. The District's cash and pooled investments consist of depository accounts at financial institutions including short-term and long-term nonnegotiable certificate of deposits. The cash balances of the District's funds are pooled. Interest revenue of \$1,928,878 was earned on all deposits and investments for the fiscal year ending June 30, 2024.

The District currently covers property and liability losses with traditional insurance coverage. The group health plan and dental plan are fully self-funded.

A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenues and expenditures by function and object. The District additionally tracks revenues by source of funds and expenditures by location, curricular program and funding source.

For long-term planning, the District utilizes a "Comprehensive Financial Planning Model" to project out various scenarios and how they could affect the financial health of the District in the next five years. The District also has a "Five Year Capital Projects Plan" which is updated at least annually for projecting future capital project needs in the District.

Major Initiatives and Achievements

An important element in maintaining an excellent educational program is the management of fiscal and capital resources. The District's use of a long-range planning process, a growing enrollment and an increasing property tax base have helped to achieve and maintain the following results:

- Salary and benefit schedules that attract and retain a high quality faculty and staff
- Excellent facilities and equipment maintained and updated on an ongoing basis
- Broad community support for bond referendums, Instructional Support Levy, Revenue Purpose Statement renewal for the Secure an Advanced Vision for Education (SAVE) one cent sales tax for school infrastructure and voted Physical Plant and Equipment Levy (PPEL)

The District has 412 certified teachers under contract in the District. 67.5% of the teachers have a master's degree and / or graduate hours beyond their master's. The development of life-long learners is a key strategic goal. The District models this expectation in the selection, professional development, and retention of its faculty and staff. Supporting the belief that quality teaching is the single most important variable a District can influence. The District provides:

- A rigorous two-year mentoring program for all beginning teachers
- Ongoing professional development
- An emphasis on the study and acquisition of "best practice" in the field of education
- Encouragement toward the pursuit of advanced degree work
- Leadership opportunities

Following is the Pleasant Valley Community School District's Mission Statement:

The mission of the Pleasant Valley Community School District as a premier innovative district in the Midwest is to prepare students to succeed in a diverse, global society by providing superior quality opportunities in a safe environment for each student to become a life-long learner and by continuously improving and customizing the educational experience.

The Pleasant Valley Community School District's Vision Statement is:

It is the vision of the Pleasant Valley Community School District that we shall provide the finest academic and extra-curricular programs in the state - not in some things, but in everything; not for some students but for every student.

The District is proud of its academic, activities and athletics programs, which includes the following highlights from the 2023-24 school year:

SPARTAN SPOTLIGHTS

ACADEMICS

- 7 National Merit Scholars
- 55 seniors earned the Seal of Bi-Literacy
- 52 students earned Personal Finance Exam Award
- 67.3% Map Math, 52.5% Map Reading Fall to Spring Growth

FINE ARTS

Band, Choir & Orchestra

- 1737 students participated in Band, Choir and/or Orchestra
- 9 students were selected for the Iowa All-State Band
- 21 students accepted to South East Iowa District High School Honor Band
- 30 students selected for Iowa Opus Honor Choir
- 18 students in the Iowa All-State Chorus
- Leading Tones invited to perform at the Mid West American Choral Directors Association Convention
- 6 students were selected for the Iowa All-State Orchestra
- Iowa High School Music Association Abbreviated Results:
 - Full Orchestra received Division I (Superior) rating
 - Symphonic Band and Concert Band received Division II (Excellent) rating
 - Concert Choir, Division II (Excellent)
 - Chamber Choir, Division I (Superior)
 - Aditya Satya-Narayan earns Best in Center award

Drama

- 4 Iowa Thespy Awards
- 2 National Thespy Qualifiers
- 3 Iowa High School Musical Theater Awards

Speech

- PVHS hosted the SE District Large Group Speech Contest, welcoming over 3,000 participants
- PVHS students competed in 11 events at the State Speech Competition, earn 10 Division 1 and 1 Division 2 ranking

Art

- 3 students received awards at the Quad City Arts Festival of Trees High School Art Exhibit
- Gabriella Howell and Claire Onions awarded the Brand Boeshaar Scholarship



ATHLETICS

Of the 21 Iowa sanctioned sports, Pleasant Valley advanced to state in 19 either as a team, an individual, or both. That's 91% of our athletic teams competing at the state level, including

3 State Championships: Girls Track, Girls Golf, Softball

Individual Student Athlete Awards:

- Jessica Clemons earned the 2024 E. Wayne Cooley Scholarship for a distinguished Iowa Female Athlete, the first PV student in our district's history to earn the distinction
- Owen Chiles named 2024 IHSAA Swimmer of the Year

ACTIVITY ACCOLADES

- Spartan Shield named IHSPA 2023 Class C News Team of the Year, SNO (School Newspapers Online) Distinguished Site
- PVHS Yearbook named the IHSPA 2024 Yearbook of the Year
- Pleasant Valley Students collected more than 92,000 pounds of food for the Student Hunger Drive, earning the title of Division A Champions.
- Spartan Assembly recognized as an Honor Council by the Iowa Association of Student Councils
- 5 students competed at the ABC Building Trades Carpentry Competition
- 2 students competed at the Iowa Dealers Association Automotive Technology Competition
- Ethics Bowl Teams placed 1st, 2nd, and 3rd at state tournament
- Jae Jepson awarded the 2024 Student Journalism Impact Award
- PV team win the Eastern Iowa Regional Battle of the Books Competition
- 28 PVHS Business Students attended the FBLA State Leadership Conference with 17 qualifying for the National Leadership Conference
- PVHS Business Students take 1st Place in the JA Titan Competition

DISTRICT & STAFF ACHIEVEMENTS

- PVHS named to the Advanced Placement Program (AP) 2023 School Honor Roll, earning Bronze Distinction by the College Board
- Caitlin Schoville named Central District Middle School Physical Education Teacher of the Year
- Meg Byrne named Finalist for 2024 GRAMMY Music Educator Award and Outstanding High School Director by the Iowa Choral Directors Association
- Jane Wheeler named 4A 2023 Cross Country Coach of the Year
- Kenny Wheeler named Iowa Association of Track & Field 4A Coach of the Year, US Track & Field and Cross Country Coaches Association Iowa Coach of the Year
- Dr. Lynne Lundberg selected as National High School Ethics Bowl's Coach of the Year



Certificate of Achievement for Excellence in Financial Reporting (GFOA) and Certificate of Excellence in Financial Reporting (ASBO)

The Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to Pleasant Valley Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2023. This was the eighth consecutive year that the District has achieved this prestigious award from GFOA. The Association of School Business Officials (ASBO) International awarded a Certificate of Excellence in Financial Reporting to Pleasant Valley Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2023. This was also the eighth consecutive year that the District has achieved this prestigious award from ASBO. In order to be awarded these certificates, a government must publish an easily readable and efficiently organized comprehensive annual financial report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

These certificates are valid for a period of one year only. We believe that our current Comprehensive Annual Financial Report meets program requirements for both awards and we are submitting it to ASBO and GFOA to determine its eligibility for each certificate.

We wish to take this opportunity to thank the administrative office staff who assisted in obtaining and organizing data, our financial auditors, the County Auditor and Treasurer offices and the city and town officials who provided much needed information. Without all of the above groups' efforts, the report could not have been completed.

Finally, sincere appreciation is extended to the Board of Directors, where the commitment to excellence begins. It is with great pride that this year's Comprehensive Annual Financial Report is submitted to the Board of Directors and the residents of the Pleasant Valley Community School District.

Very truly yours,

Mike Clingingsmith

Brian Strusz

Mike Clingingsmith

Brian Strusz

Chief Financial Officer

Superintendent

Pleasant Valley Community School District

Board of Education and School District Officials

Year Ended June 30, 2024

Board of Education

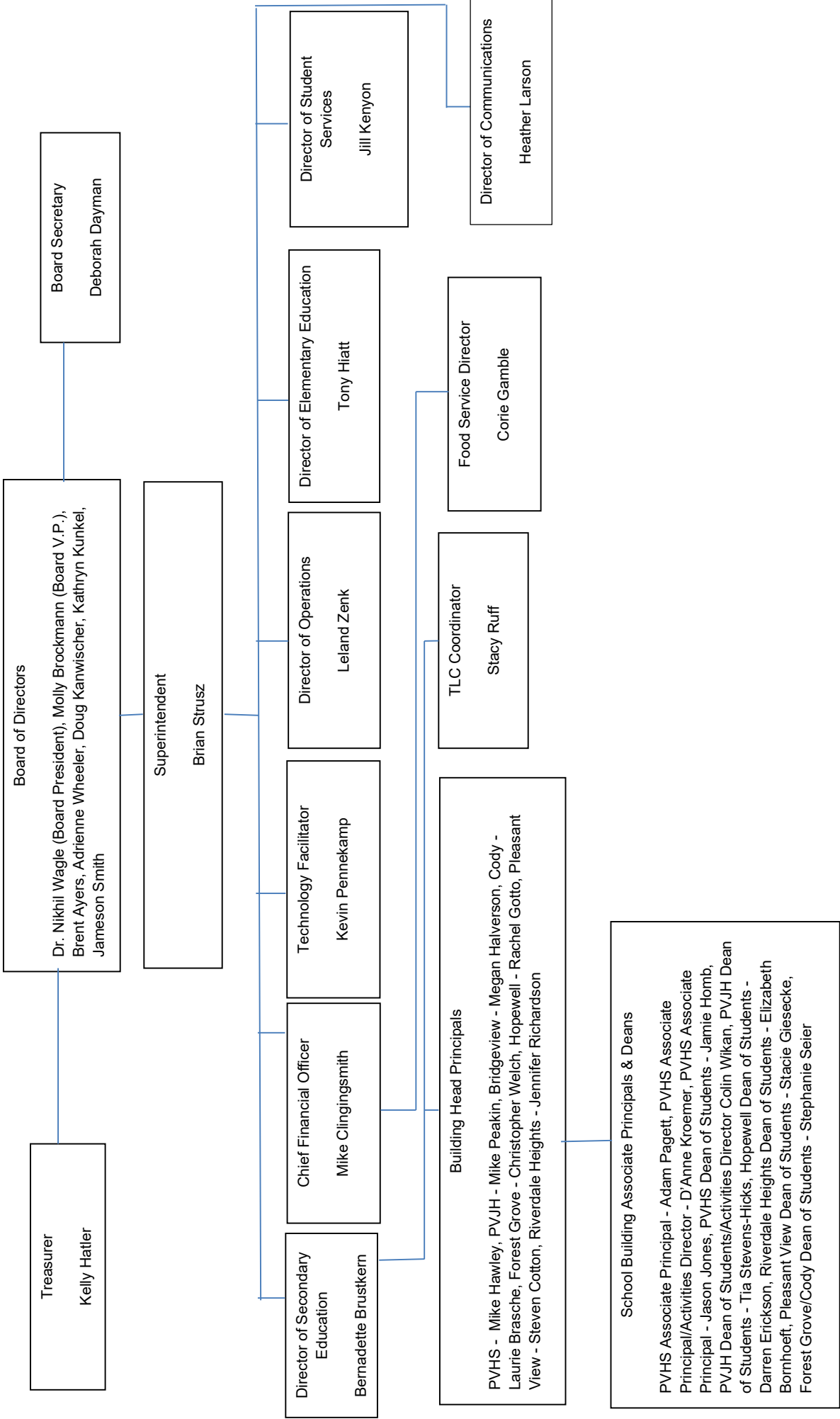
Name	Title	Term Expires
Nikhil Wagle	Board President	2027
Molly Brockmann	Board Vice President	2027
Brent Ayers	Board Member	2025
Adrienne Wheeler	Board Member	2027
Kathryn Kunkel	Board Member	2025
Jameson Smith	Board Member	2027
Doug Kanwischer	Board Member	2025

School District Officials

Brian Strusz	Superintendent	2026
Tony Hiatt	Director of Elementary Education	2025
Bernadette Brustkern	Director of Secondary Education	2024
Mike Clingingsmith	Chief Financial Officer	2025
Deborah Dayman	Board Secretary	2024
Kelly Hatler	District Treasurer	2024
Lane & Waterman	Attorney	Indefinite

PLEASANT VALLEY COMMUNITY SCHOOL DISTRICT

Organizational Chart (As of June 30, 2024)





Government Finance Officers Association

Certificate of
Achievement
for Excellence
in Financial
Reporting

Presented to

**Pleasant Valley Community School District
Iowa**

For its Annual Comprehensive
Financial Report
For the Fiscal Year Ended

June 30, 2023

Christopher P. Morill

Executive Director/CEO



ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

**The Certificate of Excellence in Financial Reporting
is presented to**

Pleasant Valley Community School District

**for its Annual Comprehensive Financial Report
for the Fiscal Year Ended June 30, 2023.**

The district report meets the criteria established for
ASBO International's Certificate of Excellence in Financial Reporting.



A handwritten signature in black ink, reading 'Ryan S. Stechschulte'.

Ryan S. Stechschulte
President

A handwritten signature in black ink, reading 'James M. Rowan'.

James M. Rowan, CAE, SFO
CEO/Executive Director



Independent Auditor's Report

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, business-type activities, each major fund, and the aggregate remaining fund information of the Pleasant Valley Community School District (the District) as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, business-type activities, each major fund and the aggregate remaining fund information of the Pleasant Valley Community School District, as of June 30, 2024, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to the financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Pleasant Valley Community School District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Pleasant Valley Community School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Pleasant Valley Community School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Pleasant Valley Community School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of changes in the District's total OPEB liability and related ratios, and schedule of the District's proportionate share of the net pension liability and schedule of District contributions on pages 4-16 and 59-68 be presented to supplement the basic financial statements. Such information, is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements.

We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Pleasant Valley Community School District's basic financial statements. The supplementary information, as listed on the table of contents and the Schedule of Expenditures of Federal Awards as required by Title 2, *U.S Code of Federal Regulations*, Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance), are presented for purposes of additional analysis and are not a required part of the basic financial statements.

Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information and Schedule of Expenditures of Federal Awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated November 19, 2024, on our consideration of the Pleasant Valley Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Pleasant Valley Community School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Pleasant Valley Community School District's internal control over financial reporting and compliance.

Bohnsack & Frommelt LLP

Moline, Illinois
November 19, 2024

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Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Pleasant Valley Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2024. We encourage readers to consider this information in conjunction with additional information that we have furnished in our transmittal letter and the District's financial statements, which follow:

2023-24 FINANCIAL HIGHLIGHTS

- The District's net position for governmental activities was \$84,042,980 at June 30, 2024 compared to \$79,973,084 at June 30, 2023, an increase of \$4,069,896 or 5.1%.
- Net position for business-type activities was \$4,135,193 at June 30, 2024 compared to \$3,756,400 at June 30, 2023, an increase of \$378,793 or 10.1%. This increase was mainly due to a significant increase in charges for services and a significant increase in interest income earned during the 2023-24 fiscal year.
- General Fund revenues increased from \$64,926,259 in the 2022-23 fiscal year to \$69,450,118 in the 2023-24 fiscal year (a 7.0% increase), while General Fund expenditures increased from \$64,759,789 in the 2022-23 fiscal year to \$66,728,017 in the 2023-24 fiscal year (a 3.0% increase). The District's fund balance in the General Fund increased from \$12,144,860 at June 30, 2023 to \$14,965,075 at June 30, 2024, a 23.2% increase.
- The revenue increase in the 2023-24 fiscal year was mainly due to increases in property taxes and state aid due to an increase in the District's certified enrollment of 133.2 students on the certified enrollment that was taken in October, 2022 (which determined funding for the 2023-24 fiscal year). The increase in expenditures was due primarily to an increase in negotiated salaries and benefits for the 2023-24 fiscal year.
- The District's solvency ratio (Assigned + Unassigned General Fund Balance / Actual General Fund Revenues – AEA Flowthrough) increased from 17.1% at June 30, 2023 to 20.3% at June 30, 2024. Per the Iowa Association of School Board (IASB), solvency ratio is a financial measure that provides a picture of the cash resources on hand at fiscal year-end of a school district and represents the percent of the district's available funding. IASB recommends that this ratio be between 7 – 17%, not to exceed 25%.
- Long-term bonded debt increased \$22,573,445 during the 2023-24 fiscal year due to the issuance of \$27,180,000 in revenue bonds.
- The District's overall property tax levy rate remained \$13.46 (rounded to the nearest penny) per \$1,000 taxable valuation in the 2023-24 fiscal year.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Pleasant Valley Community School District as a whole and present an overall view of the District's finances.
- The fund financial statements tell how governmental services were financed in the short term as well as what remains for future spending. Fund financial statements report Pleasant Valley Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining statements provide financial information about activities for which Pleasant Valley Community School District acts solely as an agent or custodian for the benefit of those outside of the District.
- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.
- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes.
- Supplementary information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various federal programs benefitting the District.

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities, and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional non-financial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

Governmental activities: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.

Business type activities: The District charges fees to help it cover the costs of certain services it provides. The District's school nutrition program and student construction fund are included here.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

- 1) **Governmental Funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

The District's major governmental funds for 2023-24 were the General Fund and the Capital Projects Fund. The nonmajor governmental funds include two Special Revenue Funds (the Management Fund and Student Activities Fund) and the Debt Service Fund. The required financial statements for governmental funds include a Balance Sheet and a Statement of Revenues, Expenditures and Changes in Fund Balances.

- 2) **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Funds, one type of proprietary fund, are the same as its business-type activities but provide more detail and additional information, such as cash flows. The District currently has two Enterprise Funds, the School Nutrition Fund and the Student Construction Fund. The District uses internal service funds, the other kind of proprietary fund, to report activities that provide supplies and services for other District programs and activities. The District currently has one internal service fund, which is used to account for the District's partially self-funded health and fully self-funded dental insurance plans.

The required financial statements for proprietary funds include a Statement of Net Position, a Statement of Revenues, Expenses and Changes in Net Position and a Statement of Cash Flows.

- 3) **Fiduciary funds:** The District is the trustee, or fiduciary, for assets that belong to others. This fund type includes custodial funds.

Custodial Funds: These are funds through which the District faculty accounts for certain revenue collected for District employee purchases of pop, funeral flowers, etc. and related expenditures and for revenues and expenditures of other various club accounts.

The District is responsible for ensuring the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a Statement of Fiduciary Net Position and a Statement of Changes in Fiduciary Net Position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-1 below provides a summary of the District's net position as of June 30, 2024 compared to June 30, 2023.

Figure A-1 Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	2024	2023	2024	2023	2024	2023	2023-24
Current and other assets	\$ 92,147,174	\$ 72,302,738	\$ 4,285,098	\$ 3,882,393	\$ 96,432,272	\$ 76,185,131	26.6%
Capital assets	110,938,394	97,835,703	506,109	587,501	111,444,503	98,423,204	13.2%
Total assets	203,085,568	170,138,441	4,791,207	4,469,894	207,876,775	174,608,335	19.1%
Deferred outflows of resources	9,586,903	6,744,141	221,631	170,955	9,808,534	6,915,096	41.8%
Long-term liabilities	87,994,077	56,681,617	601,647	581,962	88,595,724	57,263,579	54.7%
Other liabilities	12,475,940	11,436,315	214,044	239,932	12,689,984	11,676,247	8.7%
Total liabilities	100,470,017	68,117,932	815,691	821,894	101,285,708	68,939,826	46.9%
Deferred inflows of resources	28,159,474	28,791,566	61,954	62,555	28,221,428	28,854,121	-2.2%
Net position:							
Net investment in capital assets	77,032,809	69,100,013	506,109	587,501	77,538,918	69,687,514	11.3%
Restricted	12,373,804	15,148,892	13,099	4,299	12,386,903	15,153,191	-18.3%
Unrestricted	(5,363,633)	(4,275,821)	3,615,985	3,164,600	(1,747,648)	(1,111,221)	-57.3%
Total net position	\$ 84,042,980	\$ 79,973,084	\$ 4,135,193	\$ 3,756,400	\$ 88,178,173	\$ 83,729,484	5.3%

The District's combined net position as of June 30, 2024 grew by \$4,448,689 (5.3%) over the June 30, 2023 combined net position. Net position in the governmental activities grew by \$4,069,896 (5.1%). The net position of the District's business-type activities increased by \$378,793 (10.1%).

The largest portion of the District's net position is invested in capital assets (e.g., land, infrastructure, intangibles, buildings, equipment and right-to-use leased equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets.

The most significant factors for the increase in the combined net position of the District were the increase in the unrestricted portion of net position and the increase in the net investment in capital assets.

The District's combined net investment in capital assets increased by \$7,851,404 (11.3%) primarily due to District's continued investment in buildings.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position decreased by \$2,766,288 (18.3%) primarily due to school infrastructure restricted funds being spent on capital projects of the District.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Governmental activities unrestricted net position (the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements) decreased by \$1,087,812 primarily due to the net pension liability and related deferrals of inflows and deferral of outflows of resources.

Net position increased in Business-Type activities by \$378,793 (10.1%) primarily due to an increase in revenue received from charges for services and federal program revenue.

Figure A-2 shows the changes in net position for the year ended June 30, 2024 compared to the year ended June 30, 2023.

Figure A-2 Changes in Net Position From Operating Results

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	2024	2023	2024	2023	2024	2023	2023-24
Revenues:							
Program revenues:							
Charges for services	\$ 5,106,988	\$ 4,695,526	\$ 2,281,036	\$ 2,230,141	\$ 7,388,024	\$ 6,925,667	6.7%
Operating grants and contributions	11,363,779	11,391,815	1,122,110	1,357,903	12,485,889	12,749,718	-2.1%
Capital grants and contributions	51,548	482,245	-	11,000	51,548	493,245	100.0%
General revenues:							
Property taxes	27,737,459	26,400,236	-	-	27,737,459	26,400,236	5.1%
State foundation aid	29,912,675	27,930,505	-	-	29,912,675	27,930,505	7.1%
Unrestricted intergovernmental revenue	7,320,316	7,101,953	-	-	7,320,316	7,101,953	3.1%
Other	2,619,253	2,100,491	186,633	115,818	2,805,886	2,216,309	26.6%
Total revenues	84,112,018	80,102,771	3,589,779	3,714,862	87,701,797	83,817,633	4.6%
Expenses:							
Instruction	54,367,970	46,223,590	-	-	54,367,970	46,223,590	17.6%
Support services	21,396,919	18,796,115	-	-	21,396,919	18,796,115	13.8%
Noninstructional	48,284	32,771	3,161,569	3,055,700	3,209,853	3,088,471	3.9%
Other	4,278,366	3,613,184	-	-	4,278,366	3,613,184	18.4%
Total expenses	80,091,539	68,665,660	3,161,569	3,055,700	83,253,108	71,721,360	16.1%
Change in net position before transfers	4,020,479	11,437,111	428,210	659,162	4,448,689	12,096,273	-63.2%
Transfers	49,417	57,739	(49,417)	(57,739)	-	-	0.0%
Increase in net position	4,069,896	11,494,850	378,793	601,423	4,448,689	12,096,273	-63.2%
Net position, beginning of year	79,973,084	68,478,234	3,756,400	3,154,977	83,729,484	71,633,211	
Net position, end of year	\$ 84,042,980	\$ 79,973,084	\$ 4,135,193	\$ 3,756,400	\$ 88,178,173	\$ 83,729,484	

Pleasant Valley Community School District

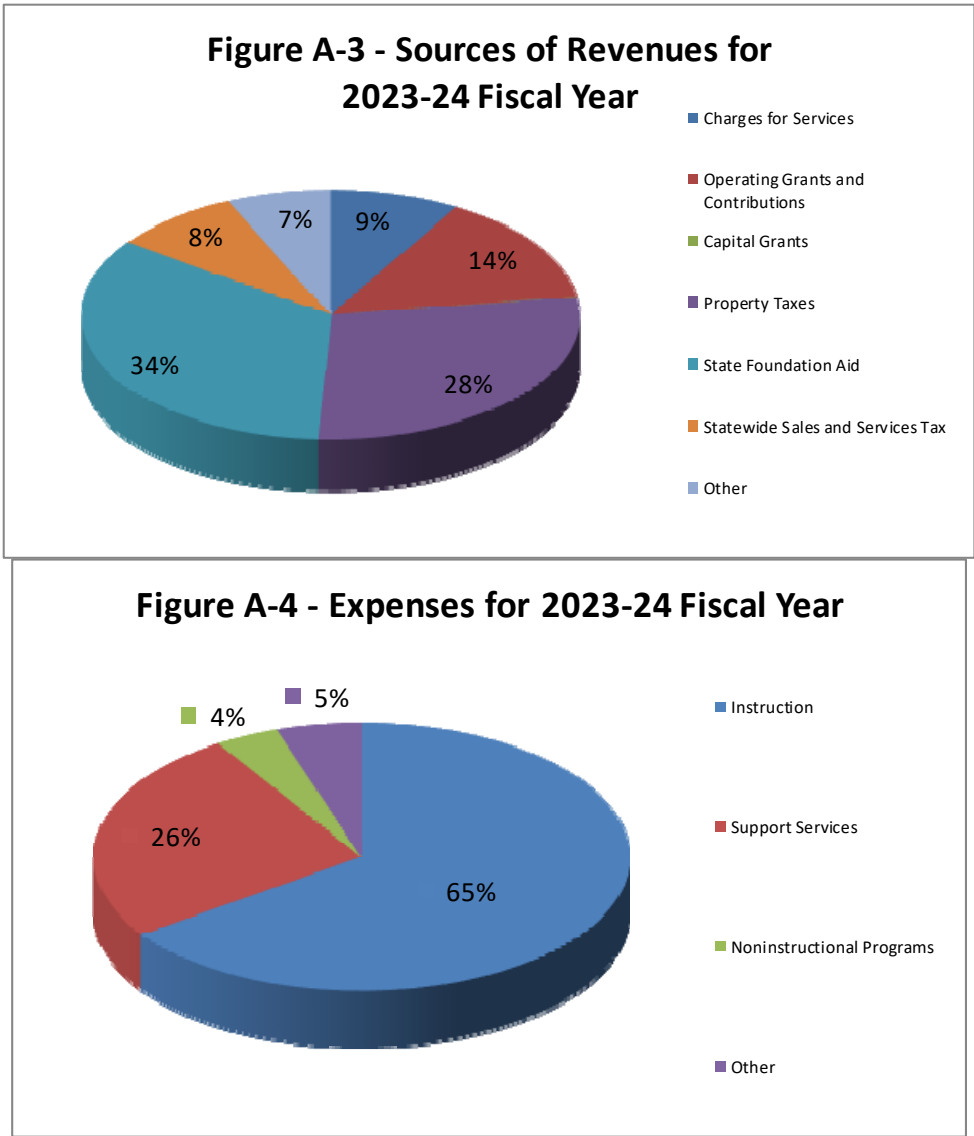
**Management's Discussion and Analysis
Year Ended June 30, 2024**

In 2023-24, property taxes, unrestricted intergovernmental revenue and state foundation aid accounted for 73.5% of the revenue from governmental activities while charges for services and grants and contributions accounted for 94.8% of the revenue from business-type activities.

In 2023-24, the District's expenses primarily relate to instructional and support services, which account for 91.0% of the total expenses. Total District expenses increased by \$11,531,748 (16.1%), primarily because of increases in instruction and support services expenditures related to salary and benefit increases.

Total revenue for the District increased by \$3,884,164 (4.6%) in the fiscal year ended June 30, 2024. The most significant revenue category changes were due to an increase in charges for services, state foundation aid and other revenues. Other revenues increased primarily due to increases in interest rates available.

Figures A-3 and A-4, which follow, show charts reflecting sources of revenue and distribution of expenses for the 2023-24 fiscal year.



Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Governmental Activities

Revenue for the District's governmental activities in 2023-24 increased by \$4,009,247 (5.0%) from the previous year, while total expenses in governmental activities increased by \$11,425,879 (16.7%). Governmental activities net position as of June 30, 2024 increased by \$4,069,896 (5.1%) over the June 30, 2023 balance.

Figure A-5 presents the total and net cost of the District's major governmental activities: instruction, support services, noninstructional programs and other expenses, for the year ended June 30, 2024 compared to the year ended June 30, 2023.

Figure A-5 Net Cost of Governmental Activities

	Total Cost of Services		Percentage	Net Cost of Services		Percentage
	2024	2023	Change	2024	2023	Change
Instruction	\$ 54,367,970	\$ 46,223,590	17.6%	\$ 42,493,513	\$ 34,688,363	22.5%
Support services	21,396,919	18,796,115	13.8%	19,522,784	16,406,206	19.0%
Noninstructional	48,284	32,771	47.3%	48,284	32,771	47.3%
Other	4,278,366	3,613,184	18.4%	1,504,643	968,734	55.3%
Total	\$ 80,091,539	\$ 68,665,660	16.6%	\$ 63,569,224	\$ 52,096,074	22.0%

For the year ended June 30, 2024:

- The cost financed by the users of the District's programs was \$5,106,988.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$11,415,327.
- The net cost of governmental activities was financed with \$27,737,459 in property taxes, \$29,912,675 of unrestricted state grants, \$7,320,316 in statewide sales and services tax revenue, and \$2,619,253 in investment and other earnings.

For the year ended June 30, 2023:

- The cost financed by the users of the District's programs was \$4,695,526.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$11,874,060.
- The net cost of governmental activities was financed with \$26,400,236 in property taxes, \$27,930,505 of unrestricted state grants, \$7,101,953 in statewide sales and services tax revenue, and \$2,100,491 in investment and other earnings.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Business-Type Activities

The District's business-type activities include the School Nutrition Fund and Student Construction Fund. Revenues of the District's business-type activities in 2023-24 were \$3,589,779; a decrease of \$125,083 (3.4%) from 2022-23. Other revenues of these activities were comprised of federal and state reimbursements and interest. Expenses were \$3,161,569, an increase of \$105,869 (3.5%) from 2022-23.

INDIVIDUAL FUND ANALYSIS

As previously noted, the Pleasant Valley Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$48,692,676, which reflects an increase of \$17,602,489 (56.6%) from last year's ending fund balances of \$31,090,187. The primary reasons for the increase in combined fund balances at the end of the 2023-24 fiscal year was the issuance of \$27,180,000 in revenue bonds.

Governmental Fund Highlights

- The fund balance in the District's General Fund increased by \$2,820,215 (23.2%) from \$12,144,860 as of June 30, 2023 to \$14,965,075 as of June 30, 2024. Revenues of the General Fund increased \$4,523,859 (7.0%). The increase was primarily due to an increase in state revenues of \$2,666,755 (7.1%) and tuition revenues of \$518,935 (18.3%) offset by a decrease in federal revenue of \$566,842 (30.5%). Expenditures increased \$1,968,228 (3.0%), primarily in instruction.
- The fund balance in the Capital Projects Fund increased by \$12,101,021 (84.8%) from \$14,264,584 as of June 30, 2023 to \$26,365,605 as of June 30, 2024 primarily due to the issuance of \$27,180,000 in revenue bonds. Total expenditures were \$19,342,820 in 2023-24 compared to \$5,940,420 in 2022-23. The increase in expenditures were due to planned capital projects for buildings and building renovations.

Proprietary Fund Highlights

The net position of the District's proprietary funds increased during the year.

- The net position of the Nutrition Fund increased by \$377,792 (10.3%) during 2023-24 from the 2022-23 net position. Charges for services increased from \$2,230,141 in 2022-23 to \$2,281,036 in 2023-24. Nonoperating revenues from federal sources decreased from \$1,334,523 in 2022-23 to \$1,102,137 in 2023-24.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

BUDGETARY HIGHLIGHTS

A schedule showing the original and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except internal service funds and custodial funds. This is referred to as the certified budget. The certified budget may be amended during the year utilizing similar statutorily prescribed procedures. The District uses the GAAP (Generally Accepted Accounting Principles) method of accounting for budgeting purposes. Over the course of the year, the District amended its certified budget one time.

Pleasant Valley Community School District's normal practice is to amend the certified budget one time during each fiscal year. Iowa law requires that actual spending in each functional area of the budget does not exceed the amount budgeted to be spent in that functional area at any time during the fiscal year. The District's practice is to amend the budget each year prior to expenses going over budget in any of the functional areas. The District's practice is also to amend the budget to reflect the entire fund balances in each of the various budgeted funds being spent down to a zero balance at the end of the fiscal year. As a result, the District's certified budget as amended should always exceed actual expenditures for the year. This is the most significant reason for the amended budget showing \$53,500,882 more in expenditures than the original certified budget for the 2023-24 fiscal year.

The other main reason for the differences between the original budget and the amended budget are:

- The budget is amended to reflect additional allowed expenditures due to receipt of other miscellaneous income during the year that was not possible to predict when the certified budget was adopted.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

By the end of the 2023-24 fiscal year, the District had invested \$111,444,503 (net of accumulated depreciation and amortization of \$65,537,746) in a broad range of assets, including school buildings, athletic facilities, computer and audio-visual equipment and administrative offices. (See Figure A-6). This amount represents a net increase of \$13,021,299 or 13.2% from last year. (More detailed information about capital assets can be found in Note 4 to the financial statements). Total depreciation expense for the year was \$4,566,221.

Figure A-6 Capital Assets (Net of Depreciation)

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	2024	2023	2024	2023	2024	2023	2023-24
Land	\$ 2,298,692	\$ 1,360,555	\$ -	\$ -	\$ 2,298,692	\$ 1,360,555	69.0%
Buildings	82,665,497	85,004,348	-	-	82,665,497	85,004,348	-2.8%
Improvements other than buildings	5,525,269	4,671,687	-	-	5,525,269	4,671,687	18.3%
Furniture and equipment	1,549,227	1,642,782	506,109	587,501	2,055,336	2,230,283	-7.8%
Construction in progress	18,317,847	4,661,901	-	-	18,317,847	4,661,901	292.9%
Intangible right to use lease equipment	266,031	115,211	-	-	266,031	115,211	130.9%
Intangible right to use IT subscription	315,831	379,219	-	-	315,831	379,219	-16.7%
Total	\$ 110,938,394	\$ 97,835,703	\$ 506,109	\$ 587,501	\$ 111,444,503	\$ 98,423,204	13.2%

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Long-Term Debt

As of June 30, 2024, the District had \$88,595,724 in long-term debt outstanding. This represents an increase of \$31,332,145 (54.7%) over last year (See Figure A-7) primarily due to the issuance of \$27,180,000 in revenue bonds. In the 2023-24 fiscal year, the District made principal payments of \$5,667,810 and interest payments of \$874,762 on its long-term debt including lease obligations and IT subscription obligations. More detailed information about the District's long-term debt is presented in Note 5 to the financial statements.

The constitution of the State of Iowa limits the amount of general obligation debt districts can issue to 5% of the assessed value of all taxable property within the District. The District's outstanding general obligation debt is significantly below its constitutional debt limit of \$197,121,797.

Payments of early retirement benefits come out of the District's Management Fund. Payments of compensated absences and lease obligations are primarily made from the District's General Fund.

Figure A-7 Outstanding Long-Term Obligations

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	2024	2023	2024	2023	2024	2023	2023-24
Revenue bonds	\$ 47,562,625	\$ 22,990,000	\$ -	\$ -	\$ 47,562,625	22,990,000	106.9%
GO bonds	8,601,721	10,600,901	-	-	8,601,721	10,600,901	-18.9%
Lease obligation	270,577	139,407	-	-	270,577	139,407	94.1%
IT subscription obligation	66,497	25,948	-	-	66,497	25,948	156.3%
Early retirement	524,343	641,871	-	-	524,343	641,871	-18.3%
Compensated absences	6,209,219	888,912	-	-	6,209,219	888,912	598.5%
Net OPEB liability	5,385,957	4,983,394	224,415	207,642	5,610,372	5,191,036	8.1%
Net pension liability	19,373,138	16,411,184	377,232	374,320	19,750,370	16,785,504	17.7%
Total	\$ 87,994,077	\$ 56,681,617	\$ 601,647	\$ 581,962	\$ 88,595,724	\$ 57,263,579	54.7%

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- After many years of growing certified enrollment (the number of resident students in the District), the District has experienced two consecutive years of declining certified enrollment. While the District's certified enrollment increased by 133.2 students on the certified enrollment taken in October, 2022 (funding for the 2023-24 fiscal year is based on that certified enrollment count as funding in Iowa runs a year behind the certified enrollment date), the District's certified enrollment declined by 18.9 students on the certified enrollment taken in October, 2023 and by 40.4 students on the certified enrollment taken in October, 2024. The state school foundation aid formula is a statutory funding mechanism based on the number of pupils in a school district which authorizes the maximum spending authority a school district may spend in the General Fund in any fiscal year. A decrease in certified enrollment has a negative effect on a school district's financial health.
- The decline in certified enrollment is being offset by an increase in the net open enrollment in the District. For the certified enrollment taken in October, 2023, the District had 374 students open enrolled in and 299 students open enrolled out for a net open enrollment of 75 students. For the certified enrollment taken in October, 2024, the District had 407 students open enrolled in and 285 students open enrolled out for a net open enrollment of 122 students. Therefore, the net open enrollment in the District increased by 47 students on the October, 2024 certified enrollment. The net open enrollment had increased by 66 students on the October, 2023 certified enrollment. While a net open enrollment gain has a positive effect on a district's financial health, it is important to note that open enrollment revenue is considered miscellaneous income and a district's ongoing expenditures should not be funded with miscellaneous income.
- The [Students First Act](#), introduced by Governor Reynolds and signed into law on Jan. 24, 2023, makes state funding available to support the success of every K-12 student in Iowa. The bill establishes a framework and funding for education savings accounts (ESAs), which may be used by eligible families to cover tuition, fees, and other qualified education expenses at accredited nonpublic schools in Iowa. In the first year of Educational Savings Accounts (ESAs) in the state of Iowa (2023-24 fiscal year), the District had 48 resident students who qualified to receive the funding. The District will receive approximately \$1,218 of categorical funding per student for those 48 students in the 2024-25 fiscal year even though they are not attending our schools. In the second year of ESA's (2024-25 fiscal year), the District had 131 resident students who qualified to receive the funding. Students First ESAs will be available based on the following eligibility:
 - **Year 1: School Year 2023-2024**
 - All entering kindergarten students
 - All students enrolled in a public school
 - A student enrolled in an accredited nonpublic school with a household income at or below 300% of the [2024 Federal Poverty Guidelines](#), \$90,000 for a family of four
 - **Year 2: School Year 2024-2025**
 - All entering kindergarten students
 - All students enrolled in a public school
 - A student enrolled in an accredited nonpublic school with a household income at or below 400% of the 2024 Federal Poverty Guidelines that will be updated January 2024

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

- **Year 3: School Year 2025-2026**
- All K-12 students in Iowa regardless of income
- It is unknown how many resident students of the District will receive funding for the ESAs in future years and exactly what financial effect that may have on the District in the future.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, and investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Mike Clingingsmith, Chief Financial Officer, Pleasant Valley Community School District, 525 Belmont Rd., Bettendorf, Iowa 52722.

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Basic Financial Statements

Pleasant Valley Community School District

Statement of Net Position

June 30, 2024

	Governmental Activities	Business-Type Activities	Total
Assets			
Cash and pooled investments	\$ 61,574,956	\$ 4,135,072	\$ 65,710,028
Receivables:			
Property tax:			
Current year	85,618	-	85,618
Succeeding year	26,630,000	-	26,630,000
Accounts	935,487	1,303	936,790
Due from other governments	2,735,892	12,952	2,748,844
Inventories	-	20,186	20,186
Assets held for sale	-	104,893	104,893
Prepaid expenses	184,426	11,487	195,913
Internal balances	795	(795)	-
Capital assets:			
Nondepreciable	20,616,539	-	20,616,539
Depreciable, net	90,321,855	506,109	90,827,964
Total assets	203,085,568	4,791,207	207,876,775
Deferred Outflows of Resources:			
Pension related deferred outflows	8,011,915	156,007	8,167,922
OPEB related deferred outflows	1,574,988	65,624	1,640,612
Total deferred outflows of resources	9,586,903	221,631	9,808,534

	Governmental	Business-Type	
	Activities	Activities	Total
Liabilities			
Accounts payable	2,815,982	22,907	2,838,889
Salaries and benefits payable	6,712,430	2,683	6,715,113
Due to other governments	2,015,038	-	2,015,038
Claims incurred but not reported	710,122	-	710,122
Accrued interest	214,444	-	214,444
Unearned revenue	7,924	188,454	196,378
Long-term liabilities:			
Portion due within one year:			
Revenue bonds	3,845,131	-	3,845,131
General obligation bonds	2,059,180	-	2,059,180
Compensated absences	3,359,278	-	3,359,278
Early retirement	363,920	-	363,920
Lease obligation	70,311	-	70,311
IT subscription obligation	22,587	-	22,587
OPEB liability	130,000	-	130,000
Portion due after one year:			
Revenue bonds	43,717,494	-	43,717,494
General obligation bonds	6,542,541	-	6,542,541
Compensated absences	2,849,941	-	2,849,941
Early retirement	160,423	-	160,423
Lease obligation	200,266	-	200,266
IT subscription obligation	43,910	-	43,910
OPEB liability	5,255,957	224,415	5,480,372
Pension liability	19,373,138	377,232	19,750,370
Total liabilities	100,470,017	815,691	101,285,708
Deferred Inflows of Resources:			
Deferred revenue from succeeding year property tax	26,630,000	-	26,630,000
Pension related deferred inflows	79,937	1,557	81,494
OPEB related deferred inflows	1,449,537	60,397	1,509,934
Total deferred inflows of resources	28,159,474	61,954	28,221,428
Net Position			
Net investment in capital assets	77,032,809	506,109	77,538,918
Restricted for:			
Categorical funding	1,242,038	-	1,242,038
Management levy	3,934,684	-	3,934,684
Physical plant and equipment levy	639,897	-	639,897
School infrastructure	5,565,773	-	5,565,773
Other special revenue purposes	792,107	-	792,107
Debt service	199,305	-	199,305
Other	-	13,099	13,099
Unrestricted	(5,363,633)	3,615,985	(1,747,648)
Total net position	\$ 84,042,980	\$ 4,135,193	\$ 88,178,173

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Activities
Year Ended June 30, 2024

Functions/Programs	Expenses
Governmental activities:	
Instruction:	
Regular instruction	\$ 37,735,705
Special instruction	9,303,231
Other	7,329,034
	<u>54,367,970</u>
Support services:	
Student services	2,618,008
Instructional staff services	4,898,929
Administration services	6,705,695
Operation and maintenance of plant services	4,408,481
Transportation services	2,765,806
	<u>21,396,919</u>
Noninstructional programs	<u>48,284</u>
Other:	
Long term debt interest	1,504,643
AEA flowthrough	2,773,723
	<u>4,278,366</u>
Total governmental activities	<u>80,091,539</u>
Business-type activities:	
Noninstructional programs:	
Student construction	-
Food service operations	3,161,569
Total business-type activities	<u>3,161,569</u>
Total	<u>\$ 83,253,108</u>
General revenues:	
Property tax levied for:	
General purposes	
Capital outlay	
Other specific purposes	
Utility excise tax	
Other tax	
Statewide sales and services tax	
Unrestricted state grants	
Revenue in lieu of taxes	
Unrestricted investment earnings	
Other, gain on sale of capital assets	
Total general revenues	
Transfers	
Total general revenues and transfers	
Change in net position	
Net position, beginning of year	
Net position, end of year	
See Notes to Basic Financial Statements.	

Program Revenues			Net (Expense) Revenue and Changes in Net Position		
Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
\$ 2,576,693	\$ 8,363,270	\$ -	\$ (26,795,742)	\$ -	\$ (26,795,742)
620,070	65,688	-	(8,617,473)	-	(8,617,473)
151,092	97,644	-	(7,080,298)	-	(7,080,298)
3,347,855	8,526,602	-	(42,493,513)	-	(42,493,513)
890,379	-	-	(1,727,629)	-	(1,727,629)
440,130	-	-	(4,458,799)	-	(4,458,799)
391,410	-	51,548	(6,262,737)	-	(6,262,737)
37,214	12,240	-	(4,359,027)	-	(4,359,027)
-	51,214	-	(2,714,592)	-	(2,714,592)
1,759,133	63,454	51,548	(19,522,784)	-	(19,522,784)
-	-	-	(48,284)	-	(48,284)
-	-	-	(1,504,643)	-	(1,504,643)
-	2,773,723	-	-	-	-
-	2,773,723	-	(1,504,643)	-	(1,504,643)
5,106,988	11,363,779	51,548	(63,569,224)	-	(63,569,224)
-	1,001	-	-	1,001	1,001
2,281,036	1,121,109	-	-	240,576	240,576
2,281,036	1,122,110	-	-	241,577	241,577
\$ 7,388,024	\$ 12,485,889	\$ 51,548	(63,569,224)	241,577	(63,327,647)
			22,694,480	-	22,694,480
			3,651,322	-	3,651,322
			1,391,657	-	1,391,657
			618,539	-	618,539
			1,920	-	1,920
			7,320,316	-	7,320,316
			29,912,675	-	29,912,675
			210,510	-	210,510
			1,742,245	186,633	1,928,878
			46,039	-	46,039
			67,589,703	186,633	67,776,336
			49,417	(49,417)	-
			67,639,120	137,216	67,776,336
			4,069,896	378,793	4,448,689
			79,973,084	3,756,400	83,729,484
			\$ 84,042,980	\$ 4,135,193	\$ 88,178,173

Pleasant Valley Community School District

**Balance Sheet
Governmental Funds
June 30, 2024**

	General	Capital Projects	Nonmajor	Total
Assets				
Cash and pooled investments	\$ 21,611,422	\$ 28,173,708	\$ 7,409,237	\$ 57,194,367
Receivables:				
Property tax:				
Current year	70,163	11,122	4,333	85,618
Succeeding year	21,430,000	3,530,000	1,670,000	26,630,000
Accounts	36,747	-	3,824	40,571
Due from other governments	2,062,316	673,576	-	2,735,892
Due from other funds	795	-	-	795
Prepaid items	178,409	-	6,017	184,426
Total assets	\$ 45,389,852	\$ 32,388,406	\$ 9,093,411	\$ 86,871,669
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 259,385	\$ 2,492,801	\$ 61,415	\$ 2,813,601
Salaries and benefits payable	6,712,430	-	-	6,712,430
Due to other governments	2,015,038	-	-	2,015,038
Unearned revenue	7,924	-	-	7,924
Total liabilities	8,994,777	2,492,801	61,415	11,548,993
Deferred Inflows of Resources:				
Unavailable revenue:				
Succeeding year property tax	21,430,000	3,530,000	1,670,000	26,630,000
Total deferred inflows of resources	21,430,000	3,530,000	1,670,000	26,630,000
Fund balances:				
Nonspendable	178,409	-	6,017	184,426
Restricted for:				
Categorical funding	1,242,038	-	-	1,242,038
Management levy	-	-	3,934,684	3,934,684
Physical plant and equipment levy	-	2,176	-	2,176
School infrastructure	-	26,363,429	-	26,363,429
Student activity purposes	-	-	786,090	786,090
Debt service	-	-	2,635,205	2,635,205
Assigned primarily for transportation	3,349,442	-	-	3,349,442
Unassigned	10,195,186	-	-	10,195,186
Total fund balances	14,965,075	26,365,605	7,361,996	48,692,676
Total liabilities, deferred inflows of resources, and fund balances	\$ 45,389,852	\$ 32,388,406	\$ 9,093,411	\$ 86,871,669

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities June 30, 2024

Total fund balances of governmental funds	\$ 48,692,676
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Amounts reported for governmental activities in the Statement of Net Position
are different because:

Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.	110,938,394
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The Internal Service Fund is used to charge costs of the District's self-funded insurance plan to the governmental funds. The net position of the Internal Service Fund is therefore included under governmental activities.	4,563,002
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Pension and OPEB related deferred outflows of resources and deferred inflows of resources
are not due and payable in the current year and, therefore, are not reported in the
governmental funds, as follows:

Deferred outflows of resources related to pension	8,011,915
Deferred inflows of resources related to pension	(79,937)
Deferred inflows of resources related to OPEB	(1,449,537)
Deferred outflows of resources related to OPEB	1,574,988

Long-term liabilities, including bonds payable and compensated absences, are not
due and payable in the current period and, therefore, are not reported as liabilities
in the governmental funds.

Revenue bonds	(46,560,000)
General obligation bonds	(8,425,000)
Premium on issuance of bonds	(1,179,346)
Accrued interest	(214,444)
Lease obligations	(270,577)
IT subscription obligations	(66,497)
Early retirement	(524,343)
Compensated absences	(6,209,219)
OPEB liability	(5,385,957)
Pension liability	(19,373,138)

Net position of governmental activities

\$ 84,042,980

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances

Governmental Funds

Year Ended June 30, 2024

	General	Capital Projects	Nonmajor	Total
Revenues:				
Local sources:				
Property tax	\$ 22,694,480	\$ 3,651,322	\$ 1,391,657	\$ 27,737,459
Utility excise tax	497,636	85,526	35,377	618,539
Other tax	1,545	265	110	1,920
Tuition	3,347,855	-	-	3,347,855
Other	1,494,017	569,129	1,378,376	3,441,522
State sources	40,124,443	7,349,425	12,040	47,485,908
Federal sources	1,290,142	31,230	-	1,321,372
Total revenues	69,450,118	11,686,897	2,817,560	83,954,575
Expenditures:				
Current:				
Instruction	43,721,483	1,017,935	1,430,044	46,169,462
Support services:				
Student services	2,663,534	-	22,908	2,686,442
Instructional staff services	4,965,951	-	84,492	5,050,443
Administration services	6,102,148	240,924	101,943	6,445,015
Operation and maintenance of plant services	3,740,787	48,813	620,993	4,410,593
Transportation services	2,759,493	-	8,083	2,767,576
	20,231,913	289,737	838,419	21,360,069
Noninstructional programs	898	24,562	22,824	48,284
Other expenditures:				
Facilities acquisition	-	17,525,019	-	17,525,019
AEA flowthrough	2,773,723	-	-	2,773,723
	2,773,723	17,525,019	-	20,298,742
Debt service:				
Principal	-	-	5,667,810	5,667,810
Interest and fiscal charges	-	485,567	874,762	1,360,329
	-	485,567	6,542,572	7,028,139
Total expenditures	66,728,017	19,342,820	8,833,859	94,904,696
Excess (deficiency) of revenues over (under) expenditures	2,722,101	(7,655,923)	(6,016,299)	(10,950,121)

	General	Capital Projects	Nonmajor	Total
Other financing sources (uses):				
Issuance of long term debt	-	27,180,000	-	27,180,000
Premium on issuance of long term debt	-	1,002,625	-	1,002,625
Interfund transfers in	49,417	3,790,117	8,737,669	12,577,203
Interfund transfers (out)	(69,966)	(12,417,703)	(40,117)	(12,527,786)
Issuance of IT subscription obligation	72,624	-	-	72,624
Issuance of lease obligation	-	201,905	-	201,905
Proceeds from sale of capital assets	46,039	-	-	46,039
Total other financing sources (uses)	98,114	19,756,944	8,697,552	28,552,610
Net change in fund balance	2,820,215	12,101,021	2,681,253	17,602,489
Fund balances, beginning of year	12,144,860	14,264,584	4,680,743	31,090,187
Fund balances, end of year	<u>\$ 14,965,075</u>	<u>\$ 26,365,605</u>	<u>\$ 7,361,996</u>	<u>\$ 48,692,676</u>

See Notes to Basic Financial Statements.

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Pleasant Valley Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2024

Net change in fund balances - total governmental funds \$ 17,602,489

Amounts reported for governmental activities in the Statement of
Activities are different because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Net Position and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. The amounts of capital outlays and depreciation expense in the year are as follows:

Capital outlay	\$ 17,569,055	
Depreciation and amortization expense	(4,466,364)	13,102,691
Proceeds from the sale of capital assets	(46,039)	
Gain on sale of capital assets	46,039	-

The increase in net position of the Internal Service Fund represents an overcharge to the governmental funds and is incorporated into the change in net position of governmental activities. 320,816

Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the Statement of Net Position

Repayment of revenue bond and general obligation bond principal	5,565,000	
Issuance of long term debt	(27,180,000)	
Premium on issuance of long term debt	(1,002,625)	
Amortization of premium	44,180	
Issuance of lease obligation	(201,905)	
Payment of lease obligations	70,735	
Issuance of IT subscription liability	(72,624)	
Payment of IT subscription liability	32,075	
Interest expense	(188,494)	
Pension expense	1,770,939	
Early retirement	117,528	
Compensated absences	(5,320,307)	
OPEB liability	(590,602)	(26,956,100)

Change in net position of governmental activities \$ 4,069,896

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Net Position

Proprietary Funds

June 30, 2024

	Business-Type Activities, Enterprise Funds			Governmental
	Nonmajor			Activities,
	Student			Internal
	Nutrition	Construction	Total	Service Fund
Assets				
Current:				
Cash and cash equivalents	\$ 4,135,072	\$ -	\$ 4,135,072	\$ 4,380,589
Accounts receivable	1,303	-	1,303	894,916
Due from other governments	12,952	-	12,952	-
Inventories	20,186	-	20,186	-
Prepaid items	11,487	-	11,487	-
Assets held for sale	-	104,893	104,893	-
Total current assets	4,181,000	104,893	4,285,893	5,275,505
Noncurrent:				
Capital assets, net of accumulated depreciation	506,109	-	506,109	-
Total assets	4,687,109	104,893	4,792,002	5,275,505
Deferred Outflows of Resources:				
Pension related deferred outflows	156,007	-	156,007	-
OPEB related deferred outflows	65,624	-	65,624	-
Total deferred outflows of resources	221,631	-	221,631	-
Liabilities				
Current:				
Accounts payable	3,235	19,672	22,907	2,381
Salaries and benefits payable	2,683	-	2,683	-
Claims incurred but not reported	-	-	-	710,122
Due to other funds	795	-	795	-
Unearned revenue, other	188,454	-	188,454	-
Total current liabilities	195,167	19,672	214,839	712,503
Noncurrent:				
OPEB liability	224,415	-	224,415	-
Pension liability	377,232	-	377,232	-
Total noncurrent liabilities	601,647	-	601,647	-
Total liabilities	796,814	19,672	816,486	712,503
Deferred Inflows of Resources:				
Pension related deferred inflows	1,557	-	1,557	-
OPEB related deferred inflows	60,397	-	60,397	-
Total deferred inflows of resources	61,954	-	61,954	-
Net Position				
Net investment in capital assets	506,109	-	506,109	-
Restricted, for food service	13,099	-	13,099	-
Unrestricted	3,530,764	85,221	3,615,985	4,563,002
Total net position	\$ 4,049,972	\$ 85,221	\$ 4,135,193	\$ 4,563,002

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2024

	Business-Type Activities, Enterprise Funds			
	Nonmajor			Internal
	Nutrition	Student Construction	Total	Service Fund
Operating revenues:				
Local sources, charges for services	\$ 2,281,036	\$ -	\$ 2,281,036	\$ 6,936,955
Operating expenses:				
Support services:				
Employee benefits	-	-	-	536,706
Purchased services	-	-	-	6,110,956
Other	-	-	-	79,881
	-	-	-	6,727,543
Noninstructional programs:				
Salaries	806,844	-	806,844	-
Benefits	186,765	-	186,765	-
Purchased services	52,471	-	52,471	-
Supplies	2,015,632	-	2,015,632	-
Depreciation	99,857	-	99,857	-
	3,161,569	-	3,161,569	-
Total operating expenses	3,161,569	-	3,161,569	6,727,543
Operating income (loss)	(880,533)	-	(880,533)	209,412
Nonoperating revenues:				
Interest on investments	186,633	-	186,633	111,404
Local sources	-	1,001	1,001	-
State sources	18,972	-	18,972	-
Federal sources	1,102,137	-	1,102,137	-
Total nonoperating revenues	1,307,742	1,001	1,308,743	111,404
Income before transfers	427,209	1,001	428,210	320,816
Transfers out	(49,417)	-	(49,417)	-
Change in net position	377,792	1,001	378,793	320,816
Net position, beginning of year	3,672,180	84,220	3,756,400	4,242,186
Net position, end of year	\$ 4,049,972	\$ 85,221	\$ 4,135,193	\$ 4,563,002

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Cash Flows

Proprietary Funds

Year Ended June 30, 2024

	<u>Business-Type Activities, Enterprise Funds</u>			
	<u>Nonmajor</u>		Total	Internal Service Fund
	Nutrition	Student Construction		
Cash flows from operating activities:				
Cash received from sale of lunches and breakfasts	\$ 2,252,234	\$ -	\$ 2,252,234	\$ -
Cash received from miscellaneous operating activities	-	-	-	6,827,212
Cash payments to employees for services	(1,025,201)	-	(1,025,201)	(536,706)
Cash payments to suppliers for goods or services	(1,834,227)	(1,001)	(1,835,228)	(5,681,885)
Net cash provided by (used in) operating activities	(607,194)	(1,001)	(608,195)	608,621
Cash flows from noncapital financing activities:				
Transfers to other funds	(49,417)	-	(49,417)	-
Proceeds from other funds	795	-	795	-
Local grants received	-	1,001	1,001	-
State grants received	18,972	-	18,972	-
Federal grants received	852,559	-	852,559	-
Net cash provided by noncapital financing activities	822,909	1,001	823,910	-
Cash flows (used in) capital related financing activities,				
Acquisition of capital assets	(18,465)	-	(18,465)	-
Net cash (used in) capital related financing activities	(18,465)	-	(18,465)	-
Cash flows from investing activities,				
interest on investments	186,633	-	186,633	111,404
Net increase in cash and cash equivalents	383,883	-	383,883	720,025
Cash and cash equivalents, beginning of year	3,751,189	-	3,751,189	3,660,564
Cash and cash equivalents, end of year	<u>\$ 4,135,072</u>	<u>\$ -</u>	<u>\$ 4,135,072</u>	<u>\$ 4,380,589</u>

(Continued)

Pleasant Valley Community School District

Statement of Cash Flows (Continued)

Proprietary Funds

Year Ended June 30, 2024

	Business-Type Activities, Enterprise Funds			
	Nonmajor		Total	Internal
	Nutrition	Student Construction		Service Fund
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:				
Operating income (loss)	\$ (880,533)	\$ -	\$ (880,533)	\$ 209,412
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:				
Depreciation	99,857	-	99,857	-
Commodities used	236,626	-	236,626	-
(Increase) decrease in accounts receivable	168	-	168	(109,743)
Decrease in inventories	6,016	-	6,016	-
(Increase) in prepaid items	(11,487)	-	(11,487)	-
(Increase) in assets held for resale	-	(1,362)	(1,362)	-
Increase (decrease) in accounts payable	2,721	361	3,082	(27,754)
Increase in OPEB liability and related deferrals	24,608	-	24,608	-
(Decrease) in pension and related deferrals	(56,200)	-	(56,200)	-
Increase in claims incurred but not reported	-	-	-	536,706
Increase in unearned revenue	(28,970)	-	(28,970)	-
Net cash provided by (used in) operating activities	\$ (607,194)	\$ (1,001)	\$ (608,195)	\$ 608,621
Schedule of noncash items:				
Noncapital financing activities, federal commodities	\$ 236,626	\$ -	\$ 236,626	\$ -

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Fiduciary Net Position

Fiduciary Fund

June 30, 2024

	<u>Custodial</u>
Assets	
Cash and pooled investments	<u>\$ 37,310</u>
Liabilities	
Accounts payable	<u>\$ 3,852</u>
Net position	<u><u>\$ 33,458</u></u>

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Changes in Fiduciary Net Position

Fiduciary Fund

Year Ended June 30, 2024

	<u>Custodial</u>
Additions	
Contributions	<u>\$ 69,999</u>
Total additions	<u>69,999</u>
Deductions	
Administrative expenses	<u>61,109</u>
Total deductions	<u>61,109</u>
Change in net position	8,890
Net position, beginning of the year	<u>24,568</u>
Net position, end of the year	<u><u>\$ 33,458</u></u>

See Notes to Basic Financial Statements.

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Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies

Pleasant Valley Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades kindergarten through twelve. The District also operates a preschool program. The geographic area served includes the Township of Pleasant Valley, Iowa, the City of LeClaire, Iowa, portions of the City of Bettendorf, Iowa and portions of the agricultural territory of Scott County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

Reporting entity:

For financial reporting purposes, Pleasant Valley Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. Pleasant Valley Community School District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Scott County Assessor's Conference Board.

Basis of presentation:

District-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows of resources and liabilities and deferred inflows of resources, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvements of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed by creditors, grantors, contributors or laws and regulations of other governments or imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the District-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes:

The Management Fund accounts for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

The Student Activity Fund accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

Debt Service Fund: Accounts for the accumulation of resources for, and the payment of, long- term debt principal, interest and related costs. Revenue of the fund primarily consists of local property taxes.

Proprietary fund types are used to account for the District's ongoing organizations and activities which are similar to those often found in the private sector. The measurement focus is upon income determination, financial position, and cash flows. The District has two types of proprietary funds, enterprise funds and an internal service fund.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Enterprise funds are used to account for those operations that are financed and operating in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

The Nutrition Fund is a major enterprise fund which accounts for the food service operations of the District.

The District's nonmajor enterprise fund is the Student Construction Fund accounts for grant funding to build an aircraft with neighboring districts. The aircraft will be built and held for a year under FAA guidelines and then sold with the proceeds from the sale of the aircraft used to build the next aircraft.

The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance plans for District employees.

The District also reported fiduciary funds which focus on net position and changes in net position. The District's fiduciary funds include the following:

The Custodial Fund is used to account for assets held by the District as an agent for individuals, private organizations and other governments. These are funds of District employee for purchases of pop, funeral flowers, and related expenditures.

Measurement focus and basis of accounting:

The District-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of long-term debt and acquisitions under leases and subscription agreements are reported as other financing sources.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

Proprietary funds distinguished operating revenues and expenses from nonoperating items. Operating revenues and expense generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise fund is charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Assets, deferred outflows of resources, liabilities, deferred inflows of resources and fund equity:

The following accounting policies are followed in preparing the financial statements:

Cash, pooled investments and cash equivalents: The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for short-term nonnegotiable certificates of deposit, which are stated at cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Current year property tax receivable represents unpaid taxes from the current year. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the District-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied. The property tax revenue recognized in these funds was due and collectible in September and March of the fiscal year with 1½ percent per month penalty for delinquent payments; is based on January 1, 2022 assessed property valuations; is for the tax accrual period July 1, 2023 through June 30, 2024 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2023.

Due from other governments: Due from other governments represents amounts due from the state of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Prepaid items: The District accounts for the prepaid items by using the purchases method.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Capital assets: Capital assets, which include property, furniture and equipment, are reported in the applicable governmental or business-type activities columns in the District-wide Statement of Net Position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Land	\$ 1
Buildings	25,000
Improvements other than buildings	25,000
Intangibles	100,000
Furniture and equipment:	
School Nutrition Fund equipment	300
Other furniture and equipment	2,500

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	20 - 40 years
Improvements other than buildings	15 - 40 years
Furniture and equipment	5 - 15 years

Salaries and benefits payable: Payroll and related expenses for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Unearned revenue: Unearned revenue consists primarily of school registration fees, activity fees and meal revenues collected for the programs and services in the next school year.

Compensated absences: District employees accumulate a limited amount of earned but unused vacation and sick leave for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the District-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2024. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund and by the Special Revenue Fund, Management Levy.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Leases: The District is a lessee for noncancellable leases of equipment. The District recognizes a lease liability and an intangible right-to-use lease asset in the governmental activities of the government-wide financial statements.

At the commencement of a lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of the lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial costs to place the asset in service. Subsequently, the lease asset is amortized on a straight-line basis over the life of the lease.

Key estimates and judgments related to leases include how the District determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

The District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and purchase option price that the District is reasonably certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Subscription-Based Information Technology Arrangements (SBITA) – The District has entered into a contract that conveys control of the right to use information technology software. The District has recognized an IT subscription liability and an intangible right-to-use IT subscription asset in the government-wide financial statements.

At the commencement of the IT subscription term, the District initially measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the IT subscription liability is reduced by the principal portion of payments made. The right-to-use IT subscription asset is initially measured as the sum of the initial IT subscription liability, adjusted for payments made at or before the commencement date, plus capitalized implementation costs less any incentives received from the SBITA vendor at or before the commencement of the subscription term. Subsequently, the right-to-use IT subscription asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to IT subscription arrangements include how the District determines the discount rate it uses to discount the expected payments to present value, term and payments.

The District uses the interest rate charged by the IT subscription vendor as the discount rate. When the interest rate charged by the vendor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

The IT subscription term includes the noncancellable period of the subscription. Payments included in the measurement of the liability are composed of fixed payments.

The District monitors changes in circumstances that would require a remeasurement of its IT subscription and will remeasure the right-to-use IT subscription asset and liability if certain changes occur that are expected to significantly affect the amount of the subscription liability.

Right-to-use IT subscription assets are reported with other capital assets and IT subscription liabilities are reported with long-term debt on the statement of net position.

Total OPEB Liability: For purposes of measuring total OPEB liability, deferred outflows of resources related to OPEB and OPEB expense, information has been determined based on the District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund and the Enterprise Fund.

Pensions — For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Cash flows: For the purpose of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Deferred outflows/inflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net assets that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The District's deferred outflows of resources consist of unrecognized items not yet charged to pension expense and contributions from the employer after the measurement date but before the end of the employer's reporting period and OPEB related deferred outflows.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net assets that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The District's deferred inflows of resources consist of deferred revenue, unrecognized items not yet charged to pension expense and other postemployment benefits.

The District reports unavailable revenue in the governmental funds balance sheet from grants and property tax. This amount is deferred and recognized as an inflow of resources in the period that the amounts become available. In the District's government-wide statements, only the succeeding year property tax revenue remains as a deferred inflow of resources under the full accrual basis of accounting and will become an inflow in the year for which levied. The District also reports pension and OPEB related deferred outflows in the government-wide statements and the proprietary fund statements.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Fund equity: In the governmental fund financial statements fund balances are classified as follows:

Nonspendable: Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Amounts in the assigned fund balance classification are intended to be used by the District for specific purposes but do not meet the criteria to be classified as committed. The authority to assign fund balances has been delegated to the Chief Financial Officer by the Board of Education. The District has assigned \$3,349,442 primarily for transportation. Unlike commitments, assignments only exist temporarily. An additional action does not normally have to be taken for the removal of an assignment.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of other governmental funds would also be reported as unassigned.

The District's flow of funds assumption prescribes that the funds with the highest level of constraint are expended first. When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is to first apply the expenditure toward restricted fund balance and then to less restrictive classifications –assigned and then unassigned fund balances.

Net position: In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. As of June 30, 2024, the District had \$25,088,636 of unspent bond proceeds. Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted by enabling legislation as of June 30, 2024 consists of \$1,242,038 for categorical funding, \$3,934,684 for management levy purposes, \$639,897 for physical plant and equipment levy, \$5,565,773 for school infrastructure, \$792,017 for student activity purposes, \$199,305 for debt service and \$13,099 for food service.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Net position flow assumption: Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgets and budgetary control:

In accordance with the Code of Iowa, the District's Board of Education annually adopts a single district-wide budget and approves the related appropriations following required public notice and hearing for all funds. The budgets and related appropriations as well as the financial statements are prepared on the modified accrual basis or accrual basis of accounting. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of disbursement known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The Code of Iowa also provides that District disbursements in the General Fund may not exceed the amount authorized by the school finance formula. The budgetary comparison and related disclosures are reported as Required Supplementary Information. During the year ended June 30, 2024, expenditures did not exceed the amounts budgeted.

Note 2. Cash and Pooled Investments

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

As of June 30, 2024, the book balance of the District's cash deposits at financial institutions and deposits totaled \$40,006,483 and the bank balances totaled \$39,986,809.

The District does not have a separate interest rate risk policy from state statutes.

The District categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 2. Cash and Pooled Investments

As of June 30, 2024, the District's investments were as follows:

	Investment Maturities (in Years)					Level Input	Rating	
	Fair Value	Less than 1	1-5	6-10	>10		Standard & Poor	Fitch
Investment Pools, Iowa Schools Joint								
Investment Trust, DVF	\$ 4,363,087	\$ 4,363,087	\$ -	\$ -	\$ -	N/A	AAAm	N/A
Treasury Bills	16,044,976	15,145,892	899,084	-	-	2	AA+	AAA
Certificate of Deposits	5,332,792	-	5,332,792	-	-			
Total	\$ 25,740,855	\$ 19,508,979	\$ 6,231,876	\$ -	\$ -			

At June 30, 2024, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Diversified Fund and money market funds which are valued at amortized cost of \$4,363,087 pursuant to Rule 2a-7 under the investment Company Act of 2040. There were no limitations or restrictions on withdrawals of the ISJIT investments.

Credit Risk: Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of rating by a nationally recognized statistical rating organization. The District has no formal investment policy that would limit its investment choices to items other than those allowed by Iowa law. The credit ratings related to the Iowa Schools Joint Investment Trust and Treasury Bills are disclosed in the chart above.

Concentration of Credit Risk: The District's investment policy does not allow for a prime bankers' acceptance or commercial paper and other corporate debt balances to be greater than 10 percent of its total deposits and investments. The policy also limits the amount that can be invested in a single issue to 5 percent of its total deposits and investments. The District did not hold any commercial paper or other corporate debt as of June 30, 2024.

Custodial Credit Risk Deposits: In the case of deposits, this is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District's deposits are entirely covered by federal depository insurance of by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to ensure there will be no loss of public funds.

Custodial Credit Risk Investments: For an investment, this is the risk that, in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The District had no custodial credit risk with regards to investments as all investments were held by the District or its agent in the District's name.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 3. Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2024 is as follows:

	Transfer in	Transfer out
General	\$ 49,417	\$ 69,966
Capital projects fund	3,790,117	12,417,703
Nonmajor governmental fund,		
Debt Service	8,700,687	40,117
Student Activity	36,982	-
Major enterprise fund, Nutrition	-	49,417
	<u>\$ 12,577,203</u>	<u>\$ 12,577,203</u>

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources. Transfers from the Capital Projects Fund to the Debt Service Fund are to make principal and interest payments on the District's revenue bonds. Transfers from the General Fund to the Debt Service Fund are to make principal and interest payments on the District's subscription based information technology arrangements and lease agreements.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 4. Capital Assets

Capital assets activity for the year ended June 30, 2024 is as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated:				
Land	\$ 1,360,555	\$ 938,137	\$ -	\$ 2,298,692
Construction in progress	4,661,901	15,847,009	2,191,063	18,317,847
Total capital assets not being depreciated	6,022,456	16,785,146	2,191,063	20,616,539
Capital assets being depreciated and amortized:				
Buildings	130,252,935	975,272	-	131,228,207
Improvements other than buildings	10,797,100	1,483,233	-	12,280,333
Furniture and equipment	9,828,658	196,597	52,627	9,972,628
Intangible right to use lease equipment	359,697	201,905	217,574	344,028
Intangible right to use subscription asset	539,896	117,965	-	657,861
Total capital assets being depreciated and amortized	151,778,286	2,974,972	270,201	154,483,057
Less accumulated depreciation and amortization for:				
Buildings	45,248,587	3,314,123	-	48,562,710
Improvements other than buildings	6,125,413	629,651	-	6,755,064
Furniture and equipment	8,185,876	290,152	52,627	8,423,401
Intangible right to use lease equipment	244,486	51,085	217,574	77,997
Intangible right to use subscription asset	160,677	181,353	-	342,030
Total accumulated depreciation and amortization	59,965,039	4,466,364	270,201	64,161,202
Total capital assets being depreciated and amortized, net	91,813,247	(1,491,392)	-	90,321,855
Governmental activities capital assets, net	\$ 97,835,703	\$ 15,293,754	\$ 2,191,063	\$ 110,938,394
Business-type activities:				
Furniture and equipment	\$ 1,883,020	\$ 18,465	\$ 18,832	\$ 1,882,653
Less accumulated depreciation	1,295,519	99,857	18,832	1,376,544
Business-type activities capital assets, net	\$ 587,501	\$ (81,392)	\$ -	\$ 506,109

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 4. Capital Assets (Continued)

Depreciation and amortization expense was charged by the District to the following functions:

Governmental activities:

Instruction	\$	4,200,689
Support services:		
Administration		147,435
Operation and maintenance of plant services		118,240
Total governmental activities depreciation and amortization expense	\$	4,466,364

Business-type activities, food service operations	\$	99,857
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Note 5. Long-Term Liabilities

A summary of changes in long-term liabilities for the year ended June 30, 2024 is as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds, Series 2016	\$ 4,730,000	\$ -	\$ 750,000	\$ 3,980,000	\$ 765,000
Revenue bonds, Series 2017	7,150,000	-	1,125,000	6,025,000	1,150,000
Revenue bonds, Series 2018	11,110,000	-	1,735,000	9,375,000	1,780,000
Revenue bonds, Series 2024	-	27,180,000	-	27,180,000	100,000
Premium on revenue bonds	-	1,002,625	-	1,002,625	50,131
Private Placement, GO bonds,					
Series 2018	10,380,000	-	1,955,000	8,425,000	2,015,000
Premium on GO bonds	220,901	-	44,180	176,721	44,180
Lease obligations	139,407	201,905	70,735	270,577	70,311
IT subscription obligations	25,948	72,624	32,075	66,497	22,587
Early retirement	641,871	320,848	438,376	524,343	363,920
Compensated absences	888,912	6,209,219	888,912	6,209,219	3,359,278
Net OPEB liability	4,983,394	402,563	-	5,385,957	130,000
Net pension liability	16,411,184	2,961,954	-	19,373,138	-
Total	\$ 56,681,617	\$ 38,351,738	\$ 7,039,278	\$ 87,994,077	\$ 9,850,407
Business-type activities:					
Net OPEB liability	\$ 207,642	\$ 16,773	\$ -	\$ 224,415	\$ -
Net pension liability	374,320	2,912	-	377,232	-
Total	\$ 581,962	\$ 19,685	\$ -	\$ 601,647	\$ -

Compensated absences are generally liquidated by the General Fund. OPEB and net pension liabilities are generally liquidated by the General Fund and respective enterprise funds.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

General obligation bonds: In October 2018, the District issued \$17,640,000 General Obligation School Capital Loan Notes, Series 2018 for capital facility construction/building improvement purposes. The bonds provide for the serial retirement of principal payable annually on June 1 and interest due semiannually at 3% with maturity on June 1, 2028. The general obligation bonds will be paid through voter-approved physical plant and equipment property tax. Annual Debt Service requirements of the general obligation bonded indebtedness are as follows:

Year ending June 30:	Direct Borrowing and Direct Placement General Obligation School Capital Loan Notes, Series 2018		
	Principal	Interest	Total
2025	\$ 2,015,000	\$ 252,750	\$ 2,267,750
2026	2,075,000	192,300	2,267,300
2027	2,135,000	130,050	2,265,050
2028	2,200,000	66,000	2,266,000
Totals	\$ 8,425,000	\$ 641,100	\$ 9,066,100

Revenue bonds:

In October 2016, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2016 for capital improvements to school buildings. Bond principal is payable annually on July 1 beginning July 1, 2018 through July 1, 2029. The bonds have an interest rate of 1.96 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total principal and interest remaining to be paid on the bonds as of June 30, 2024 is \$4,217,160. During the year ended June 30, 2024, \$750,000 principal was paid and \$92,708 of interest was paid on the bonds.

In October 2017, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2017 for capital improvements to school buildings. Bond principal is payable annually on July 1, beginning July 1, 2018 through July 1, 2029. The bonds have an interest rate of 1.94 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2024 is \$6,381,087. During the year ended June 30, 2024, \$1,125,000 principal was paid and \$138,710 of interest was paid on the bonds.

In October 2018, the District issued \$14,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2018 for capital improvements to school buildings. Bond principal is payable annually on July 1, beginning July 1, 2020 through July 1, 2029. The bonds have an interest rate of 2.93 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2024 is \$10,212,688. During the year ended June 30, 2024, \$1,735,000 principal was paid and \$325,523 of interest was paid on the bonds.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

In May 2024, the District issued \$27,180,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2024 to construct, furnish and equip an addition to the High School building and renovate and improve portions of the existing High School building. Bond principal is payable annually on July 1, beginning July 1, 2025 through July 1, 2044. The bonds have an interest rate ranging from 4.0-5.0 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2024 is \$43,112,003. During the year ended June 30, 2024 there was no principal or interest paid on the bonds.

During the year ended June 30, 2024 the statewide sales, services, and use tax revenues were \$7,320,316 for the year ended June 30, 2024. The pledge of statewide sales, service and use tax revenues for this bond and parity bonds constitutes approximately 97% of annual statewide sales, service and use tax revenues of the District.

The resolutions providing for the issuance of the revenue bonds included the following provisions:

- All proceeds from the statewide sales, service and use tax shall be deposited into the revenue account.
- Monies in the revenue account shall first be disbursed to make deposits into the sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year. At June 30, 2024, there was \$2,446,049 deposited in the sinking account in the Debt Service Fund.
- If monies in the sinking fund exceed the required amount, the excess shall be transferred to the revenue account. At June 30, 2024, there was no amount deposited into a surplus account.

Annual debt service requirements on outstanding revenue bond indebtedness as of June 30, 2024, are as follows:

Year ending June 30:	Revenue Bonds, Series 2016		
	Principal	Interest	Total
2025	\$ 765,000	\$ 78,008	\$ 843,008
2026	780,000	63,014	843,014
2027	795,000	47,726	842,726
2028	810,000	32,144	842,144
2029	830,000	16,268	846,268
Totals	\$ 3,980,000	\$ 237,160	\$ 4,217,160

Year ending June 30:	Revenue Bonds, Series 2017		
	Principal	Interest	Total
2025	\$ 1,150,000	\$ 116,885	\$ 1,266,885
2026	1,175,000	94,575	1,269,575
2027	1,205,000	71,780	1,276,780
2028	1,235,000	48,403	1,283,403
2029	1,260,000	24,444	1,284,444
Totals	\$ 6,025,000	\$ 356,087	\$ 6,381,087

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

Year ending June 30:	Revenue Bonds, Series 2018		
	Principal	Interest	Total
2025	\$ 1,780,000	\$ 274,688	\$ 2,054,688
2026	1,830,000	222,534	2,052,534
2027	1,875,000	168,914	2,043,914
2028	1,925,000	113,978	2,038,978
2029	1,965,000	57,574	2,022,574
Totals	\$ 9,375,000	\$ 837,688	\$ 10,212,688

Year ending June 30:	Revenue Bonds, Series 2024		
	Principal	Interest	Total
2025	\$ 100,000	\$ 1,371,103	\$ 1,471,103
2026	100,000	1,190,150	1,290,150
2027	100,000	1,185,150	1,285,150
2028	100,000	1,180,150	1,280,150
2029	100,000	1,175,150	1,275,150
2030-2034	6,985,000	5,186,250	12,171,250
2035-2039	8,865,000	3,310,850	12,175,850
2040-2044	10,830,000	1,333,200	12,163,200
Totals	\$ 27,180,000	\$ 15,932,003	\$ 43,112,003

Leases: The District has entered into various lease agreements for printer and copier equipment. As of June 30, 2024, the value of the lease liability was \$270,577. The lease agreements have an interest rate of 3.5 percent with final maturity of all the agreements on June 30, 2029.

Year ending June 30:	Principal	Interest	Total
2025	\$ 70,311	\$ 8,349	\$ 78,660
2026	58,519	6,077	64,596
2027	60,600	3,995	64,595
2028	59,331	1,845	61,176
2029	21,816	223	22,039
Total	\$ 270,577	\$ 20,489	\$ 291,066

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

Subscription Based Information Technology Arrangements: The District has entered into various arrangements for subscription-based information technology. As of June 30, 2024, the liability was \$66,497. The arrangements have an interest rate of 3.5 percent with final maturity of all the arrangements on June 30, 2028. The future principal and interest payments as of June 30, 2024, were as follows:

Year ending			
June 30:	Principal	Interest	Total
2025	\$ 22,587	\$ 2,327	\$ 24,914
2026	14,018	1,537	15,555
2027	14,612	1,046	15,658
2028	15,280	535	15,815
Total	\$ 66,497	\$ 5,445	\$ 71,942

As of June 30, 2024, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	\$ 3,942,435,943
Debt limit, 5% of total assessed valuation	\$ 197,121,797
Amount of debt applicable to debt limit:	
Bonded indebtedness	54,985,000
Lease obligations	270,577
IT subscription obligations	66,497
Total indebtedness	55,322,074
Legal debt margin	\$ 141,799,723

Early retirement: The District offered a voluntary early retirement plan to its certified, administrative and classified employees. Eligible employees must be at least age 55 and employees must have completed 15 years of service to the District. Employees must complete an application which is required to be approved by the Board of Education.

For administrative and certified personnel, the early retirement incentive for each eligible employee is equal to 50 percent of the employee's base salary calculated by using the current year regular salary schedule. For classified personnel, the early retirement incentive for each eligible employee is the product of 50 percent of the number of unused sick leave days (limited to a maximum number of days in the employee's letter of assignment) times the employee's hourly wage rate on the last day of employment times the daily hours worked.

As of June 30, 2024, the District had obligations to 23 participants with a total liability of \$524,343. Actual early retirement expenditures for the year ended June 30, 2024 totaled \$438,376. Early retirement is recorded as a long-term liability of the Governmental Activities in the District-wide financial statements. Early retirement obligations are generally liquidated by the Management Fund.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 6. Other Postemployment Benefits (OPEB)

Plan description: The District's defined benefit OPEB plan, Pleasant Valley Community School District Postemployment Plan Other Than Pensions (the Plan), provides postemployment benefits for eligible participants enrolled in its plans. The Plan is a single employer defined benefit OPEB plan administered by the District. Under Chapter 509A.13 of the Code of Iowa, "Group Insurance for Public Employees," If a governing body has procured insurance for its employees, the governing body shall allow its employees who retired before the age of sixty-five years of age to continue participation in the group plan at the employee's own expense until the employee attains sixty-five years of age. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75.

Benefits provided: The Plan provides healthcare benefits including medical and prescription drug benefits for retirees and their dependents. Retiree health care coverage is available to pre-age 65 eligible retirees. All employees are required to contribute the full premium in order to continue coverage at retirement.

The full monthly premium rates as of July 1, 2023 for each plan are as shown below:

Rate Tier	Traditional
Single	\$ 645
Spouse	838

Employees covered by benefit terms: At June 30, 2024, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	12
Inactive employees entitled to but not yet receiving benefit payments	-
Active employees	435
	<u>447</u>

Total OPEB Liability: The District's total OPEB liability of \$5,610,372 was measured as of June 30, 2024 and was determined by an actuarial valuation as of July 1, 2023.

Actuarial assumptions and other inputs: The total OPEB liability in the actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified.

Inflation	3.00% per annum
Salary increases	4.00% per annum
Discount rate	4.21% per annum
Retirees' share of benefit-related costs	100%
Health care cost trend rate	5.00% reducing annually until reaching ultimate health care cost trend rate - 4.50%

The discount rate was based on the Bond Buyer 20-Bond GO index. Mortality rates were based on the PubT.H-2010 Teacher Mortality with Mortality Improvement using Scale MP-2020. The actuarial assumptions used in the June 30, 2024 valuation were based on the results of an actuarial experience study for the period 2010– 2021.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 6. Other Postemployment Benefits (OPEB) (Continued)

Changes in the Total OPEB Liability

	Increase (Decrease)		
	Total OPEB Liability (a)	Plan Fiduciary Net Position (b)	Net OPEB Liability (a) - (b)
Balance at July 1, 2023	\$ 5,191,036	\$ -	\$ 5,191,036
Changes for the year:			
Service cost	460,959	-	460,959
Interest	211,722	-	211,722
Changes of benefit terms	-	-	-
Differences between expected and actual experience	323,904	-	323,904
Changes in assumptions or other inputs	(448,041)	-	(448,041)
Benefit payments	(129,208)	-	(129,208)
Net changes	419,336	-	419,336
Balance at June 30, 2024	<u>\$ 5,610,372</u>	<u>\$ -</u>	<u>\$ 5,610,372</u>

Changes of assumptions or other inputs reflect a change in the discount rate from 4.13% per annum in 2023 to 4.21% per annum in 2024. Rates of retirement, withdrawal, and disability were changed to those found in the Iowa Public Employees' Retirement System actuarial valuation report as of June 30, 2023.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current discount rate:

	1% Decrease 3.21%	Discount Rate 4.21%	1% Increase 5.21%
Total OPEB liability	\$ 6,100,822	\$ 5,610,372	\$ 5,158,910

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents that total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1-percentage point higher than the current healthcare cost trend rates.

	Healthcare Cost Trend Rates		
	1% Decrease 4.00%	5.00%	1% Increase 6.00%
Total OPEB liability	\$ 4,954,845	\$ 5,610,372	\$ 6,385,858

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 6. Other Postemployment Benefits (OPEB) (Continued)

For the year ended June 30, 2024, the District recognized OPEB expense of \$744,418. At June 30, 2024, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 917,589	\$ 259,119
Changes of assumptions or other inputs	723,023	1,250,815
Net difference between projected and actual investments	-	-
Total	\$ 1,640,612	\$ 1,509,934

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:

2025	\$ 71,738
2026	71,738
2027	71,738
2028	71,738
2029	71,738
Thereafter	(228,012)
	<u>\$ 130,678</u>

Note 7. Pension and Retirement Benefits

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50 percent for each month the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. Statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2024, pursuant to the required rate, Regular members contributed 6.29 percent of covered payroll and the District contributed 9.44 percent of covered payroll for a total rate of 15.73 percent.

The District's contributions to IPERS for the year ended June 30, 2024 were \$3,845,034.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2024, the District reported a liability of \$19,750,370 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2023, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2023, the District's proportion was 0.437568 percent, which was a decrease of 0.006711 percent from its proportion measured as of June 30, 2022.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

For the year ended June 30, 2024, the District recognized pension expense of \$2,017,896. At June 30, 2024, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,670,908	\$ 81,181
Changes of assumptions	-	313
Net difference between projected and actual earnings on pension plan investments	1,829,124	-
Changes in proportion and differences between District contributions and proportionate share of contributions	822,856	-
District contributions subsequent to the measurement date	3,845,034	-
Total	\$ 8,167,922	\$ 81,494

Deferred outflows of resources of \$3,845,034 related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2025. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	
2025	\$ (208,452)
2026	(1,220,264)
2027	4,671,631
2028	880,523
2029	117,956
Thereafter	-
Total	\$ 4,241,394

There were no non-employer contributing entities to IPERS.

Actuarial Assumptions – The total pension liability in the June 30, 2023 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of Inflation (effective June 30, 2017)	2.60 percent per annum
Salary Increases (effective June 30, 2017)	3.25 percent to 16.25 percent average, including inflation. Rates vary by membership group.
Investment rate of return (effective June 30, 2017)	7.00 percent, compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25 percent per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

The actuarial assumptions used in the June 30, 2023 valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021. Mortality rates used in the 2023 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	21.0%	4.56%
International equity	16.5%	6.22%
Global smart beta equity	5.0%	5.22%
Core plus fixed income	23.0%	2.69%
Public credit	3.0%	4.38%
Cash	1.0%	1.59%
Private equity	17.0%	10.44%
Private real assets	9.0%	3.88%
Private credit	4.5%	4.60%
Total	100%	

Discount Rate – The discount rate used to measure the total pension liability was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1-percentage-point higher (8.00 percent) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability (asset)	\$ 41,993,687	\$ 19,750,370	\$ 1,110,103

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan – At June 30, 2024, the District reported payables to the defined benefit pension plan of \$0 for legally required employer contributions and \$0 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 8. Risk Management

On July 1, 2023, the District transitioned from being partially self-insured to being self-insured with aggregate stop loss policy for the excess of 125 percent of estimated claims for the plan year and specific stop-loss reinsurance coverage for the excess of \$75,000 in insured claims for any one covered individual.

Payments are made to the plan based on actuarial estimates of amounts needed to pay prior and current year claims and to establish a reserve for incurred but unpaid claims. Changes in the claims liability amounts for the years ended June 30, 2024 and 2023 were as follows:

Self-Insurance Liability	Beginning	Claims and Changes in Estimates	Claim Payments	Ending
2023	\$ 169,524	\$ 1,160,001	\$ 1,156,109	\$ 173,416
2024	173,416	5,270,849	4,734,143	710,122

Claims liability is classified as current as claims are typically paid within 2 ½ months of incurred date.

Pleasant Valley Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 9. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled \$2,773,723 for the year ended June 30, 2024 and is recorded in the General Fund.

Note 10. Categorical Funding

The District's fund balance restricted for categorical funding as of June 30, 2024 is comprised of the following programs:

Program	Amount
Home school assistance	\$ 134,179
ELP/TAG	283,114
Teacher leadership	508,728
Successful progression for early readers	69,615
Professional development	179,473
4 year old preschool	50,931
Other	15,998
Total	\$ 1,242,038

Note 11. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments. Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2024 under tax abatement agreements of other entities:

Entity	Tax Abatement Program	Amount of Tax Diverted
City of LeClaire, Iowa	Urban renewal and economic development projects	\$ 527,848
City of Bettendorf, Iowa	Urban renewal and economic development projects	540,792
City of Riverdale, Iowa	Urban renewal and economic development projects	87,309

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2024, this reimbursement amounted to \$605,753.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 12. Commitments

The District entered into a transportation contract for busing equipment and services for the busing of all District students. The terms call for the leasing of buses for various routes. All services are provided by the lessor. The contract is for one year and can be cancelled by either party at the end of the one year term. For the year ended June 30, 2024, the contract payments for busing services and equipment totaled \$2,173,179.

The District has entered into contracts totaling \$42,027,076 for junior high addition and renovations, high school additions, and playground equipment. As of June 30, 2024, costs of \$17,154,314 had been incurred against the contracts. The balance of \$24,872,762 remaining as of June 30, 2024 will be paid as work on the projects progress.

Note 13. Governmental Accounting Standards Board (GASB)

The District adopted the following statement during the year ended June 30, 2024:

GASB Statement No. 100, *Accounting Changes and Error Corrections- An Amendment of GASB Statement No. 62*, issued June 2022. The primary objective of this Statement is to enhance accounting and financial reporting requirements for accounting changes and error corrections to provide more understandable, reliable, relevant, consistent, and comparable information for making decisions or assessing accountability.

The above statement did not have a material impact on the District's Financial Statements.

As of June 30, 2024, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 101, *Compensated Absences*, issued June 2022, will be effective for the District beginning with its fiscal year ending June 30, 2025. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. This Statement requires that liabilities for compensated absences be recognized for (1) leave that has not been used and (2) leave that has been used but not yet paid in cash or settled through noncash means. A liability should be recognized for leave that has not been used if (a) the leave is attributable to services already rendered, (b) the leave accumulates, and (c) the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. With respect to financial statements prepared using the current financial resources measurement focus, this Statement requires that expenditures be recognized for the amount that normally would be liquidated with expendable available financial resources. This Statement amends the existing requirements to disclose the gross increases and decreases in a liability for compensated absences to allow governments to disclose only the net change in the liability (As long as they identify it as a net change). In addition, governments are no longer required to disclose which governmental funds typically have been used to liquidate the liability for compensated absences.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 13. Governmental Accounting Standards Board (GASB) (Continued)

GASB Statement No. 102, *Certain Risk Disclosures*, issued December 2023, will be effective for the District beginning with its fiscal year ending June 30, 2025. The objective of this Statement is to provide users of government financial statements with information about risks related to a government's vulnerabilities due to certain concentrations or constraints that is essential to their analyses for making decisions or assessing accountability. A government should provide information in sufficient detail to enable users of financial statements to understand the nature of the circumstances disclosed and the government's vulnerability to the risk of a substantial impact associated with the concentration or constraint. The disclosures should include descriptions of the following: (a) The concentration or constraint (b) Each event associated with the concentration or constraint that could cause a substantial impact if the event had occurred or had begun to occur prior to the issuance of the financial statements (c) Actions taken by the government prior to the issuance of the financial statements to mitigate the risk.

GASB Statement No. 103, *Financial Reporting Model Improvements*, issued April 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to improve key components of the financial reporting model to enhance its effectiveness in providing information that is essential for decision making and assessing a government's accountability. This statement also addresses certain application issues.

GASB Statement No. 104, *Disclosure of Certain Capital Assets*, issued September 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to provide users of government financial statements with essential information about certain types of capital assets. This Statement requires certain types of capital assets to be disclosed separately in the capital assets note disclosures required by Statement 34. Lease assets recognized in accordance with Statement No. 87, *Leases*, and intangible right-to-use assets recognized in accordance with Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements*, should be disclosed separately by major class of underlying asset in the capital as-sets note disclosures. Subscription assets recognized in accordance with Statement No. 96, *Subscription-Based Information Technology Arrangements*, also should be separately disclosed. In addition, this Statement requires intangible assets other than those three types to be disclosed separately by major class. This Statement also requires additional disclosures for capital assets held for sale

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Pleasant Valley Community School District

Required Supplementary Information

**Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances -
Budget and Actual - All Governmental Funds and Enterprise Fund
Year Ended June 30, 2024**

	Governmental Funds - Actual	Enterprise Fund - Actual
Revenues:		
Local sources	\$ 35,147,295	\$ 2,468,670
State sources	47,485,908	18,972
Federal sources	1,321,372	1,102,137
Total revenues	83,954,575	3,589,779
Expenditures/expenses:		
Instruction	46,169,462	-
Support services	21,360,069	-
Noninstructional programs	48,284	3,161,569
Other expenditures	27,326,881	-
Total expenditures/expenses	94,904,696	3,161,569
Excess (deficiency) of revenues over (under) expenditures/expenses	(10,950,121)	428,210
Other financing sources (uses):		
Interfund transfers in	12,577,203	-
Interfund transfers (out)	(12,527,786)	(49,417)
Other	28,503,193	-
Total other financing sources (uses)	28,552,610	(49,417)
Net change in fund balance	17,602,489	378,793
Balance, beginning of year	31,090,187	3,756,400
Balance, end of year	\$ 48,692,676	\$ 4,135,193

See Notes to Required Supplementary Information.

Total Actual		Budgeted Amounts		Final to Actual Variance
		Original	Final	
\$	37,615,965	\$ 35,834,510	\$ 35,834,510	\$ 1,781,455
	47,504,880	47,054,332	47,054,332	450,548
	2,423,509	2,923,142	2,923,142	(499,633)
	87,544,354	85,811,984	85,811,984	1,732,370
	46,169,462	48,016,464	58,522,736	12,353,274
	21,360,069	22,317,360	28,527,257	7,167,188
	3,209,853	2,478,999	6,966,020	3,756,167
	27,326,881	22,467,148	54,764,840	27,437,959
	98,066,265	95,279,971	148,780,853	50,714,588
	(10,521,911)	(9,467,987)	(62,968,869)	52,446,958
	12,577,203	9,817,618	9,817,618	2,759,585
	(12,577,203)	(9,725,804)	(9,725,804)	(2,851,399)
	28,503,193	-	-	28,503,193
	28,503,193	91,814	91,814	28,411,379
	17,981,282	\$ (9,376,173)	\$ (62,877,055)	\$ 80,858,337
	34,846,587			
\$	52,827,869			

Pleasant Valley Community School District

**Required Supplementary Information
Schedule of Changes in the District's Total OPEB
Liability and Related Ratios
Last Seven Fiscal Years**

	2024	2023
Total OPEB liability		
Changes for the year:		
Service cost	\$ 460,959	\$ 403,655
Interest	211,722	190,901
Changes of benefit terms		
Differences between expected and actual experience	323,904	-
Changes in assumptions or other inputs	(448,041)	(17,570)
Benefit payments	(129,208)	(106,915)
Net changes in total OPEB liability	419,336	470,071
Total OPEB liability - beginning	5,191,036	4,720,965
Total OPEB liability - ending	<u>\$ 5,610,372</u>	<u>\$ 5,191,036</u>
Covered employee payroll	\$ 25,278,071	\$ 32,384,338
Total OPEB liability as a percentage of covered employee payroll	22.2%	16.0%

Notes to Schedule:

Changes of benefit terms:

There were no changes as a result of changes in benefit terms.

Changes of assumption:

Changes of assumptions or other inputs reflect a change in the discount rate. The following are the discount rates used in each period:

4.21% 4.13%

No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75

Note: The schedule is intended to present information for ten years.
Information prior to 2018 is not available.

See Notes to Required Supplementary Information.

2022		2021		2020		2019		2018	
\$	528,196	\$	419,695	\$	358,497	\$	200,905	\$	193,420
	115,152		122,329		85,188		90,870		84,561
					-		-		-
	(365,839)		-		1,211,052		-		-
	(818,342)		220,448		618,617		83,558		(59,537)
	(40,790)		(117,404)		(99,536)		(77,578)		(48,099)
	(581,623)		645,068		2,173,818		297,755		170,345
	5,302,588		4,657,520		2,483,702		2,185,947		2,015,602
\$	4,720,965	\$	5,302,588	\$	4,657,520	\$	2,483,702	\$	2,185,947
\$	32,384,338	\$	25,448,998	\$	25,448,998	\$	25,413,000	\$	24,435,885
	14.6%		20.8%		18.3%		10.0%		9.0%
	4.09%		2.18%		2.66%		3.50%		3.87%

Pleasant Valley Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

Last Ten Fiscal Years

	2024*	2023*	2022*
District's proportion of the net pension liability	0.437568%	0.444279%	-0.165620%
District's proportionate share of the net pension liability	\$ 19,750,370	\$ 16,785,504	\$ 571,765
District's covered payroll	\$ 38,489,624	\$ 35,820,023	\$ 33,113,826
District's proportionate share of the net pension liability as a percentage of its covered payroll	51.31%	46.86%	1.73%
Plan fiduciary net pension as a percentage of the total pension liability	90.13%	91.40%	100.81%

*The amounts presented for each fiscal year
were determined as of the prior fiscal year-end.

See Notes to Required Supplementary Information.

2021*	2020*	2019*	2018*	2017*	2016*	2015*
0.401184%	0.405431%	0.396414%	0.380032%	0.374103%	0.366061%	0.365605%
\$ 28,182,108	\$ 23,477,096	\$ 25,086,036	\$ 25,314,966	\$ 23,543,466	\$ 18,085,204	\$ 14,499,546
\$ 31,851,031	\$ 30,870,918	\$ 29,800,064	\$ 28,377,079	\$ 26,851,672	\$ 25,093,051	\$ 23,941,880
88.48%	76.05%	84.18%	89.21%	87.68%	72.07%	60.56%
82.90%	85.45%	83.62%	82.21%	81.82%	85.19%	87.61%

Pleasant Valley Community School District

Required Supplementary Information

Schedule of District Contributions (in Thousands)

Iowa Public Employees' Retirement System

Last Ten Fiscal Years

	2024	2023	2022	2021
Statutorily required contribution	\$ 3,845	\$ 3,622	\$ 3,381	\$ 3,125
Contributions in relation to the statutorily required contribution	\$ (3,845)	\$ (3,622)	\$ (3,381)	\$ (3,125)
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ -
District's covered payroll	\$ 40,802	\$ 38,489	\$ 35,820	\$ 33,114
Contributions as a percentage of employee payroll	9.42%	9.41%	9.44%	9.44%

See Notes to Required Supplementary Information.

2020	2019	2018	2017	2016	2015
\$ 3,007	\$ 2,913	\$ 2,661	\$ 2,534	\$ 2,398	\$ 2,241
\$ (3,007)	\$ (2,913)	\$ (2,661)	\$ (2,534)	\$ (2,398)	\$ (2,241)
\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
\$ 31,851	\$ 30,871	\$ 29,800	\$ 28,377	\$ 26,852	\$ 25,093
9.44%	9.44%	8.93%	8.93%	8.93%	8.93%

Pleasant Valley Community School District

Notes to Required Supplementary Information

Note 1. Budgets and Budgetary Information

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except internal service, private-purpose trust and custodial funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes or expenditures known as functions, not by fund or fund type. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District adopted one budget amendment increasing budgeted expenditures by \$53,500,882.

During the year ended June 30, 2024, expenditures did not exceed the amounts budgeted.

Note 2. Iowa Public Employees' Retirement System Pension Liability

Changes of benefit terms:

There are no significant changes in benefit terms.

Changes of assumptions:

The 2023 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

Pleasant Valley Community School District

Notes to Required Supplementary Information

Note 2. Iowa Public Employees' Retirement System Pension Liability (Continued)

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

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Other Supplementary Information

Pleasant Valley Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2024

	Special Revenue		Debt Service	Total
	Management Levy	Student Activity		
Assets				
Cash and pooled investments	\$ 3,951,116	\$ 822,916	\$ 2,635,205	\$ 7,409,237
Receivables:				
Property tax:				
Current year	4,333	-	-	4,333
Succeeding year	1,670,000	-	-	1,670,000
Accounts	-	3,824	-	3,824
Prepaid items	-	6,017	-	6,017
Total assets	\$ 5,625,449	\$ 832,757	\$ 2,635,205	\$ 9,093,411
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 20,765	\$ 40,650	\$ -	\$ 61,415
Total liabilities	20,765	40,650	-	61,415
Deferred inflows of resources, Unavailable revenue-succeeding year property tax	1,670,000	-	-	1,670,000
Fund balances:				
Nonspendable	-	6,017	-	6,017
Restricted	3,934,684	786,090	2,635,205	7,355,979
Total fund balances	3,934,684	792,107	2,635,205	7,361,996
Total liabilities, deferred inflows of resources and fund balances	\$ 5,625,449	\$ 832,757	\$ 2,635,205	\$ 9,093,411

Pleasant Valley Community School District

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Nonmajor Governmental Funds

Year Ended June 30, 2024

	Special Revenue			
	Management	Student	Debt	
	Levy	Activity	Service	Total
Revenues:				
Local sources:				
Property tax	\$ 1,391,657	\$ -	\$ -	\$ 1,391,657
Utility excise tax	35,377	-	-	35,377
Other tax	110	-	-	110
Other	153,105	1,096,102	129,169	1,378,376
State sources	12,040	-	-	12,040
Total revenues	1,592,289	1,096,102	129,169	2,817,560
Expenditures:				
Current:				
Instruction	309,490	1,120,554	-	1,430,044
Support services:				
Student services	22,908	-	-	22,908
Instructional staff services	84,492	-	-	84,492
Administration services	98,940	3,003	-	101,943
Operation and maintenance of plant services	619,893	1,100	-	620,993
Transportation services	8,083	-	-	8,083
Noninstructional programs	22,824	-	-	22,824
Debt Service:				
Principal	-	-	5,667,810	5,667,810
Interest and fiscal charges	-	-	874,762	874,762
Total expenditures	1,166,630	1,124,657	6,542,572	8,833,859
Excess (deficiency) of revenues over (under) expenditures	425,659	(28,555)	(6,413,403)	(6,016,299)
Other financing sources (uses):				
Transfers in	-	36,982	8,700,687	8,737,669
Transfers (out)	-	-	(40,117)	(40,117)
Total other financing sources (uses)	-	36,982	8,660,570	8,697,552
Net change in fund balances	425,659	8,427	2,247,167	2,681,253
Fund balances, beginning of year	3,509,025	783,680	388,038	4,680,743
Fund balances, end of year	\$ 3,934,684	\$ 792,107	\$ 2,635,205	\$ 7,361,996

Pleasant Valley Community School District

Schedule of Combining Balance Sheet
Capital Project Fund - By Account
June 30, 2024

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash and pooled investments	\$ 27,544,933	\$ 628,775	\$ 28,173,708
Receivables:			
Property tax:			
Current year	-	11,122	11,122
Succeeding year	-	3,530,000	3,530,000
Due from other governments	673,576	-	673,576
Total assets	\$ 28,218,509	\$ 4,169,897	\$ 32,388,406
Liabilities, Deferred Inflows of Resources, and Fund Balances			
Liabilities:			
Accounts payable	\$ 1,855,080	\$ 637,721	\$ 2,492,801
Total liabilities	1,855,080	637,721	2,492,801
Deferred Inflows of Resources:			
Unavailable revenue-succeeding year property tax	-	3,530,000	3,530,000
Total deferred inflows of resources	-	3,530,000	3,530,000
Fund Balances:			
Restricted for:			
Physical plant and equipment	-	2,176	2,176
School infrastructure	26,363,429	-	26,363,429
Total fund balances	26,363,429	2,176	26,365,605
Total liabilities and fund balances	\$ 28,218,509	\$ 4,169,897	\$ 32,388,406

Pleasant Valley Community School District

Schedule of Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Capital Project Fund - By Account
Year Ended June 30, 2024

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Property tax	\$ -	\$ 3,651,322	\$ 3,651,322
Utility excise tax	-	85,526	85,526
Other tax	-	265	265
Other	511,414	57,715	569,129
State sources	7,320,316	29,109	7,349,425
Federal sources	-	31,230	31,230
Total revenues	7,831,730	3,855,167	11,686,897
Expenditures:			
Current:			
Instruction	65,960	951,975	1,017,935
Support services:			
Administration services	-	240,924	240,924
Operation and maintenance of plant services	-	48,813	48,813
Noninstructional	-	24,562	24,562
Other expenditures, facilities acquisition	13,902,729	3,622,290	17,525,019
Debt service, fees	485,567	-	485,567
Total expenditures	14,454,256	4,888,564	19,342,820
(Deficiency) of revenues (under) expenditures	(6,622,526)	(1,033,397)	(7,655,923)
Other financing sources (uses):			
Issuance of long term debt	27,180,000	-	27,180,000
Premium on issuance of long term debt	1,002,625	-	1,002,625
Issuance of lease obligation	-	201,905	201,905
Transfer in	358,613	3,431,504	3,790,117
Transfers (out)	(9,819,685)	(2,598,018)	(12,417,703)
Total other financing (uses)	18,721,553	1,035,391	19,756,944
Net change in fund balance	12,099,027	1,994	12,101,021
Fund balance, beginning of year	14,264,402	182	14,264,584
Fund balance, end of year	\$ 26,363,429	\$ 2,176	\$ 26,365,605

Pleasant Valley Community School District

**Schedule of Changes in Special Revenue Fund, Student Activity Accounts
Year Ended June 30, 2024**

Account	Balance Beginning of Year	Revenues	Expenditures	Interfund Transfers	Balance End of Year
Elementary and Junior High Activities:					
P.V.J.H. Band	\$ 2,565	\$ 47	\$ -	\$ -	\$ 2,612
P.V.J.H. Vocal Music	39	437	-	-	476
P.V.J.H. Bookstore	211	1,187	1,185	-	213
P.V.J.H. Chorus	73	-	-	-	73
P.V.J.H. General Activities	3,773	2,427	2,489	-	3,711
P.V.J.H. Home Economics	1,712	-	-	-	1,712
P.V.J.H. Quest Program	327	-	-	-	327
P.V.J.H. Science	14	-	-	-	14
P.V.J.H. Special Olympics	197	-	-	-	197
P.V.J.H. Student Council	1,803	-	-	-	1,803
P.V.J.H. Weightlifting Club	-	2,080	2,080	-	-
P.V.J.H. Orchestra	-	5,434	5,434	-	-
P.V.J.H. PTA	-	1,000	1,000	-	-
P.V.J.H. Robotics	270	-	-	-	270
P.V.J.H. Yearbook	34,478	16,380	10,230	-	40,628
P.V.J.H. PE Fundraising	-	1,806	98	-	1,708
Bridgeview General Activities	13,253	169	1,785	-	11,637
Bridgeview PTA Donations	11	804	804	-	11
Bridgeview Yearbook	821	394	552	-	663
Bridgeview Student Activity	22	644	84	-	582
Bridgeview Vocal Music	575	200	36	-	739
Bridgeview Robotics	50	-	-	-	50
Bridgeview Plant Club	88	15	-	-	103
Cody Band	34	-	-	-	34
Cody Book Club	1,782	806	-	-	2,588
Cody Bookstore	295	-	-	-	295
Cody Candy Sales	782	-	-	-	782
Cody General Activities	9,137	3,360	2,080	-	10,417
Cody Jump for Heart	2	-	-	-	2
Cody Robotics	60	-	-	-	60
Cody Student Fund	429	-	-	-	429
Cody Vocal Music	523	200	103	-	620
Cody Yearbook	5,518	2,651	2,402	-	5,767
Cody Student Council	65	-	-	-	65
Cody PTA Donations	1,618	2,615	2,930	-	1,303
Hopewell General Activities	12,951	5,362	2,552	-	15,761
Hopewell PTA	227	385	360	-	252
Hopewell Book Club	8,466	4,072	-	-	12,538
Hopewell Vocal Music	76	3,158	3,067	-	167
Hopewell Yearbook	8,426	8,166	7,447	-	9,145
Pleasant View General Activities	9,050	6,040	6,890	-	8,200
Pleasant View PTA	1,766	17,196	11,386	-	7,576
Pleasant View Book Club	6,646	5,122	7,113	-	4,655
Pleasant View Yearbook	-	8,892	8,892	-	-
Pleasant View Robotics	1,757	-	-	-	1,757

(Continued)

Pleasant Valley Community School District

Schedule of Changes in Special Revenue Fund, Student Activity Accounts (Continued)
Year Ended June 30, 2024

Account	Balance Beginning of Year	Revenues	Expenditures	Intrafund Transfers	Balance End of Year
Elementary and Junior High Activities:					
Riverdale Book Club	\$ 850	\$ 2,787	\$ 1,708	\$ -	\$ 1,929
Riverdale Bookstore	218	-	-	-	218
Riverdale Jump for Heart	42	-	-	-	42
Riverdale General Activities	19,665	4,821	2,806	-	21,680
Riverdale PTA	1,143	-	-	-	1,143
Riverdale Student Council	264	-	-	-	264
Riverdale Science	843	-	-	-	843
Riverdale Band	500	-	-	-	500
Riverdale Robotics	730	-	172	-	558
Riverdale Vocal Music	22	200	132	-	90
Riverdale Yearbook	901	5,513	5,409	-	1,005
District-Wide Garage Sale	1,234	-	-	-	1,234
District-Wide Wellness	219	-	-	-	219
District-Wide STEM Night	556	-	-	-	556
Interest	65,108	12,030	-	-	77,138
6th Grade Choir	3,332	302	-	-	3,634
Forest Grove General Activities	473	2,728	1,537	-	1,664
Elementary and JH First Lego League	3,404	10,833	13,854	-	383
Forest Grove Vocal Music	400	200	-	-	600
Forest Grove Yearbook	-	3,651	3,384	-	267
Forest Grove Book Club	2,578	1,380	235	-	3,723
High School Activities:					
General Administrative	9,494	3,161	715	-	11,940
Clubs and Organizations	73,627	213,515	240,581	3,930	50,491
Drama	60	45,945	42,498	(920)	2,587
Therapy Dog	573	-	-	-	573
High School Athletics	129,401	-	-	(30,794)	98,607
Sparkles	2,534	-	-	-	2,534
Music Clubs	23,536	36,970	30,674	-	29,832
FCCLA	1,139	-	309	-	830
Croquet/Gentlemen's Club	236	-	-	-	236
PV Pals	893	-	-	-	893
PV Shining Stars	44	-	-	-	44
PVMCSA	145	600	665	-	80
Multi-occupations	72	-	-	-	72
First Robotics Club	10,687	43,165	46,388	-	7,464
Valenian	47,876	81,615	78,496	-	50,995
Athletic Support Groups	187,750	501,774	574,095	59,669	175,098
Interest	39,378	23,863	-	5,097	68,338
Interfund Transfers	23,861	-	-	-	23,861
Total	\$ 783,680	\$ 1,096,102	\$ 1,124,657	\$ 36,982	\$ 792,107

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Statistical Section

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Pleasant Valley Community School District

Statistical Section Contents

The statistical section of the District's annual comprehensive financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends	76-89
These schedules contain trend information to help the reader understand how the District's financial performance and well being have changed over time.	
Revenue Capacity	90-95
These schedules contain trend information to help the reader assess the factors affecting the District's ability to generate its property taxes.	
Debt Capacity	96-101
These schedules contain trend information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future.	
Demographic and Economic Information	102
These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place and to help make comparisons over time and with other governments	
Operating Information	103-111
These schedules contain information about the District's operations and resources to help the reader understand how the District's financial information relates to the services the District provides and the activities it performs.	

Pleasant Valley Community School District

Net Position by Component
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2015	2016	2017	2018
Governmental activities:				
Net investment in capital assets	\$ 47,577,526	\$ 46,357,427	\$ 48,923,365	\$ 53,863,845
Restricted	3,299,023	7,618,033	8,779,479	6,824,623
Unrestricted	(11,059,471)	(9,745,457)	(9,497,092)	(11,162,552)
Business-type activities				
Net investment in capital assets	583,135	523,807	446,365	541,660
Restricted	10,843	7,646	5,189	17,737
Unrestricted	106,827	430,982	842,399	1,012,013
Total primary government net position	\$ 40,517,883	\$ 45,192,438	\$ 49,499,705	\$ 51,097,326

Fiscal Year					
2019	2020	2021	2022	2023	2024
\$ 54,688,945	\$ 57,616,352	\$ 61,834,605	\$ 64,294,575	\$ 69,100,013	\$ 77,032,809
9,377,347	9,546,788	9,520,185	11,617,264	15,148,892	12,373,804
(12,357,024)	(13,090,297)	(12,120,596)	(7,438,766)	(4,275,821)	(5,363,633)
517,626	519,029	740,141	669,179	587,501	506,109
26,299	41,295	32,205	7,716	4,299	13,099
1,240,620	1,018,293	1,169,130	2,478,082	3,164,600	3,615,985
\$ 53,493,813	\$ 55,651,460	\$ 61,175,670	\$ 71,628,050	\$ 83,729,484	\$ 88,178,173

Pleasant Valley Community School District

Expenses, Program Revenues and Net (Expense) Revenue
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2015	2016	2017	2018
Expenses:				
Governmental activities:				
Regular instruction	\$ 23,184,329	\$ 25,438,186	\$ 26,703,792	\$ 29,527,917
Special instruction	3,526,775	3,685,199	3,806,549	4,177,790
Other instruction	4,584,831	4,426,675	4,755,087	5,033,700
Student services	1,653,333	1,805,292	1,921,235	2,121,430
Instructional staff services	1,837,349	3,217,189	3,487,286	3,749,838
Administration services	3,492,635	3,730,755	4,764,242	5,112,130
Operation and maintenance of plant services	3,811,382	3,683,918	3,675,409	4,032,811
Transportation services	1,368,313	1,687,983	1,809,887	1,934,517
Noninstructional	20,941	42,924	33,911	23,618
Interest on long-term debt	-	206,613	471,868	623,732
AEA flowthrough	1,744,881	1,826,774	1,901,900	2,056,304
Total governmental activities	45,224,769	49,751,508	53,331,166	58,393,787
Business-type activities:				
Administration Service	56,128	44,303	-	-
Operation and maintenance of plant services	60,236	32,362	-	-
Food service operations	1,756,835	1,809,658	1,937,243	2,079,277
Total business-type activities	1,873,199	1,886,323	1,937,243	2,079,277
Total primary government expenses	47,097,968	51,637,831	55,268,409	60,473,064
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction:				
Regular instruction	2,306,499	2,383,423	2,470,094	2,553,359
Special instruction	880	-	-	-
Other instruction	928,278	874,540	924,568	982,706
Support services	28,130	36,603	35,489	41,725
Operating grants and contributions	6,028,330	7,726,677	6,619,414	6,999,341
Capital grants and contributions	-	-	200,000	-
Total governmental activities	9,292,117	11,021,243	10,249,565	10,577,131
Business-type activities:				
Charges for services:				
Food service operations	1,517,506	1,590,833	1,664,304	1,750,799
Operating grants and contributions	579,884	582,902	628,697	629,562
Capital grants and contributions	-	-	-	-
Total business-type activities	2,097,390	2,173,735	2,293,001	2,567,897
Total primary government revenues	11,389,507	13,194,978	12,542,566	13,145,028
Net (expense) revenues:				
Total governmental activities	(35,932,652)	(38,730,265)	(43,081,601)	(47,816,656)
Total business-type activities	224,191	287,412	355,758	488,620
Total primary government revenues	\$ (35,708,461)	\$ (38,442,853)	\$ (42,725,843)	\$ (47,328,036)

Source: District financial records

Fiscal Year						
2019	2020	2021	2022	2023	2024	
\$ 29,900,727	\$ 30,147,393	\$ 32,063,358	\$ 31,061,506	\$ 29,820,957	\$ 37,735,705	
4,177,790	5,349,038	6,055,626	6,209,079	9,056,695	9,303,231	
5,044,702	5,764,629	5,663,271	5,657,450	7,345,938	7,329,034	
2,186,916	2,161,707	1,974,779	2,348,172	2,318,339	2,618,008	
3,932,783	4,186,258	4,168,647	4,035,298	4,532,562	4,898,929	
5,306,450	5,410,975	5,763,843	5,750,866	5,784,137	6,705,695	
4,590,464	3,681,052	3,615,929	3,651,439	3,846,967	4,408,481	
1,988,860	1,951,249	1,959,282	2,037,751	2,314,110	2,765,806	
21,855	24,256	23,195	24,945	32,771	48,284	
1,455,077	1,423,256	1,214,348	1,089,304	968,734	1,504,643	
2,156,919	2,259,331	2,375,720	2,486,311	2,644,450	2,773,723	
60,762,543	62,359,144	64,877,998	64,352,121	68,665,660	80,091,539	
-	-	-	-	-	-	
-	-	-	-	-	-	
2,118,968	1,957,472	1,964,268	2,877,616	3,055,700	3,161,569	
2,118,968	1,957,472	1,964,268	2,877,616	3,055,700	3,161,569	
62,881,511	64,316,616	66,842,266	67,229,737	71,721,360	83,253,108	
2,165,736	2,202,140	2,689,110	2,722,717	2,191,551	2,576,693	
174,032	134,936	-	7,560	516,836	620,070	
960,964	725,108	714,982	1,059,330	132,644	151,092	
32,350	29,437	22,376	35,163	1,854,495	1,759,133	
7,256,134	7,336,281	10,320,304	9,411,513	11,391,815	11,363,779	
15,054	-	-	-	482,245	51,548	
10,604,270	10,427,902	13,746,772	13,236,283	16,569,586	16,522,315	
1,771,203	1,347,137	428,604	743,024	2,230,141	2,281,036	
667,986	508,088	1,808,630	3,556,322	1,357,903	1,122,110	
-	-	-	-	11,000	-	
2,439,189	1,855,225	2,237,234	4,299,346	3,599,044	3,403,146	
13,043,459	12,283,127	15,984,006	17,535,629	20,168,630	19,925,461	
(50,158,273)	(51,931,242)	(51,131,226)	(51,115,838)	(52,096,074)	(63,569,224)	
320,221	(102,247)	272,966	1,421,730	543,344	241,577	
\$ (49,838,052)	\$ (52,033,489)	\$ (50,858,260)	\$ (49,694,108)	\$ (51,552,730)	\$ (63,327,647)	

Pleasant Valley Community School District

**General Revenues and Total Change in Net Position
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)**

	Fiscal Year			
	2015	2016	2017	2018
General revenues and other changes in net position:				
Governmental activities:				
Taxes:				
Property taxes levied for:				
General purposes	\$ 16,114,877	\$ 16,698,868	\$ 17,606,221	\$ 18,359,453
Capital projects	2,268,217	2,379,912	2,566,497	2,705,964
Other specific purposes	661,553	690,670	743,239	589,075
Statewide sales and services tax	4,080,583	4,194,086	4,343,875	4,423,311
Unrestricted grants	17,785,894	18,552,175	21,128,076	22,602,674
Miscellaneous	344,825	509,597	513,969	460,997
Investment earnings	67,229	87,857	124,520	202,180
Transfers	150,000	30,025	30,953	216,856
Total governmental activities	41,473,178	43,143,190	47,057,350	49,560,510
Business-type activities:				
Investment earnings	2,920	4,243	6,713	13,441
Transfers	(150,000)	(30,025)	(30,953)	(216,856)
Total business-type activities	(147,080)	(25,782)	(24,240)	(203,415)
Total primary government	41,326,098	43,117,408	47,033,110	49,357,095
Change in net position:				
Total governmental activities	2,742,913	4,412,925	(759,306)	1,743,854
Total business-type activities	140,332	261,630	464,380	285,205
Total primary government	\$ 2,883,245	\$ 4,674,555	\$ (294,926)	\$ 2,029,059

Source: District financial records

Fiscal Year						
2019	2020	2021	2022	2023	2024	
\$ 19,216,658	\$ 19,510,686	\$ 21,072,520	\$ 22,390,453	\$ 20,863,056	\$ 22,694,480	
2,854,682	3,065,500	3,236,818	3,422,653	3,472,790	3,651,322	
634,423	728,431	759,226	809,119	2,064,390	1,391,657	
5,059,769	5,191,254	5,587,148	5,854,401	7,101,953	7,320,316	
23,406,467	24,503,479	24,430,506	27,262,472	27,930,505	29,912,675	
548,663	535,476	476,946	285,201	801,420	877,008	
489,188	634,970	813,563	163,251	1,299,071	1,742,245	
131,775	125,021	(84,150)	219,176	57,739	49,417	
52,341,625	54,294,817	56,292,577	60,406,726	63,590,924	67,639,120	
24,689	21,340	5,743	10,947	115,818	186,633	
(131,775)	(125,021)	84,150	(219,176)	(57,739)	(49,417)	
(107,086)	(103,681)	89,893	(208,229)	58,079	137,216	
52,234,539	54,191,136	56,382,470	60,198,497	63,649,003	67,776,336	
2,183,352	2,363,575	56,292,577	60,406,726	63,590,924	4,069,896	
213,135	(205,928)	89,893	(208,229)	58,079	378,793	
\$ 2,396,487	\$ 2,157,647	\$ 56,382,470	\$ 60,198,497	\$ 63,649,003	\$ 4,448,689	

Pleasant Valley Community School District

Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2015	2016	2017	2018
General Fund:				
Nonspendable	\$ 67,078	\$ 130,038	\$ 107,892	\$ 142,536
Restricted	379,954	600,523	634,569	662,376
Assigned	1,854,244	2,040,642	2,146,505	2,313,277
Unassigned	3,101,609	2,957,325	3,550,195	3,470,053
Total General Fund	5,402,885	5,728,528	6,439,161	6,588,242
All other governmental funds:				
Nonspendable	6,131	1,112	4,918	5,295
Restricted for:				
Capital projects funds	564,012	5,651,773	6,752,614	3,268,728
Debt service	-	594,338	381,144	22,455
Special revenue funds	2,157,946	2,175,331	2,431,290	2,643,444
Unassigned	-	-	-	-
Total all other governmental funds	2,728,089	8,422,554	9,569,966	5,939,922
Total governmental funds	\$ 8,130,974	\$ 14,151,082	\$ 16,009,127	\$ 12,528,164

Source: District financial records

Fiscal Year					
2019	2020	2021	2022	2023	2024
\$ 143,272	\$ 158,217	\$ 358,172	\$ 518,688	\$ 272,311	\$ 178,409
523,933	623,430	895,985	1,105,162	1,224,131	1,242,038
3,148,671	3,133,352	3,162,842	3,161,450	3,277,498	3,349,442
3,238,128	4,309,175	6,920,517	7,157,559	7,370,920	10,195,186
7,054,004	8,224,174	11,337,516	11,942,859	12,144,860	14,965,075
9,884	96,367	1,126	4,259	15,914	6,017
28,524,186	20,244,645	12,549,453	14,722,369	14,264,584	26,365,605
1,059,583	280,874	289,304	302,213	388,038	2,635,205
2,919,016	3,012,089	2,976,038	3,049,054	4,276,791	4,720,774
-	-	-	-	-	-
32,512,669	23,633,975	15,815,921	18,077,895	18,945,327	33,727,601
\$ 39,566,673	\$ 31,858,149	\$ 27,153,437	\$ 30,020,754	\$ 31,090,187	\$ 48,692,676

Pleasant Valley Community School District

Governmental Funds Revenues

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2015	2016	2017	2018
Local sources:				
Property taxes	\$ 19,044,647	\$ 19,769,450	\$ 21,662,607	\$ 21,654,493
Interest income	67,229	87,857	124,520	229,390
Other revenues	3,598,092	3,606,539	3,287,108	3,910,439
Total local sources	22,709,968	23,463,846	25,074,235	25,794,322
State sources:				
Statewide sales, services and use tax	4,067,504	4,182,214	4,333,461	4,415,088
State foundation aid and state grants	22,963,212	25,572,441	26,985,461	28,762,094
Total state sources	27,030,716	29,754,655	31,318,922	33,177,182
Federal sources, federal grants	851,012	904,035	872,011	941,058
Total revenues	\$ 50,591,696	\$ 54,122,536	\$ 57,265,168	\$ 59,912,562

Source: District financial records

Fiscal Year					
2019	2020	2021	2022	2023	2024
\$ 22,705,763	\$ 23,304,617	\$ 25,068,564	\$ 26,622,225	\$ 26,400,236	\$ 27,737,459
151,685	599,831	796,576	163,251	533,274	1,630,841
3,952,799	3,303,074	3,443,555	3,958,874	6,690,557	5,778,995
26,810,247	27,207,522	29,308,695	30,744,350	33,624,067	35,147,295
5,059,769	5,215,928	5,117,291	6,298,315	7,394,675	7,320,316
29,773,918	31,147,243	33,221,454	34,530,111	37,458,976	40,165,592
34,833,687	36,363,171	38,338,745	40,828,426	44,853,651	47,485,908
1,012,883	923,013	1,991,226	2,284,600	1,869,016	1,321,372
\$ 62,656,817	\$ 64,493,706	\$ 69,638,666	\$ 73,857,376	\$ 80,346,734	\$ 83,954,575

Pleasant Valley Community School District

Governmental Funds Expenditures and Debt Service Ratio

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2015	2016	2017	2018
Instruction	\$ 30,012,492	\$ 32,013,799	\$ 32,861,581	\$ 35,464,968
Student services	1,653,333	1,805,292	1,921,235	2,066,131
Instructional staff services	1,837,349	3,217,189	3,487,286	3,648,615
Administration services	4,043,845	4,209,472	4,466,699	4,750,539
Operation and maintenance of plant	3,207,753	3,040,088	3,307,042	3,491,192
Transportation services	1,368,313	1,687,983	1,809,887	1,932,688
Noninstructional programs	20,941	42,924	33,911	23,618
Capital outlay, facilities acquisition	3,747,432	10,084,680	13,587,047	17,072,274
AEA flowthrough	1,744,881	1,826,774	1,901,900	2,056,304
Debt service:				
Principal	2,000,000	-	1,590,000	2,840,000
Interest and fiscal charges	1,798	206,613	471,868	623,732
Total expenditures	\$ 49,638,137	\$ 58,134,814	\$ 65,438,456	\$ 73,970,061
Debt service as a percentage of noncapital expenditures	4.31%	0.42%	3.95%	6.05%

Source: District financial records

Fiscal Year						
2019	2020	2021	2022	2023	2024	
\$ 35,574,571	\$ 36,542,961	\$ 39,113,467	42,286,174	\$ 44,517,008	\$ 46,169,462	
2,140,443	2,081,854	1,907,354	2,546,322	2,454,356	2,686,442	
3,847,717	4,036,280	4,029,453	4,447,502	4,806,787	5,050,443	
4,860,451	4,818,158	5,140,249	5,715,789	5,815,625	6,445,015	
3,731,218	3,501,291	3,729,238	4,036,232	4,395,081	4,410,593	
1,987,324	1,948,687	1,957,462	2,043,837	2,317,749	2,767,576	
21,855	24,256	23,195	24,945	32,771	48,284	
9,136,619	10,592,542	9,757,645	1,045,132	5,841,785	17,525,019	
2,156,919	2,259,331	2,375,720	2,486,311	2,644,450	2,773,723	
2,979,691	5,138,397	5,266,348	5,478,365	5,520,631	5,667,810	
1,455,077	1,383,494	1,263,003	1,138,084	1,017,652	1,360,329	
\$ 67,891,885	\$ 72,327,251	\$ 74,563,134	\$ 71,248,693	\$ 79,363,895	\$ 94,904,696	
7.46%	10.52%	10.03%	9.46%	8.96%	9.09%	

Pleasant Valley Community School District

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2015	2016	2017	2018
Excess (deficiency) of revenues over (under) expenditures	\$ 953,559	\$ (4,012,278)	\$ (8,173,288)	\$ (14,057,499)
Other financing sources (uses):				
Sale of capital assets	3,007	2,361	380	10,842
Issuance of debt	-	10,000,000	10,000,000	10,348,838
Premium on issuance of debt	-	-	-	-
Issuance of lease	-	-	-	-
Issuance of IT subscription obligation	-	-	-	-
Transfers in	2,151,798	716,187	1,736,826	3,182,554
Transfers out	(2,001,798)	(686,162)	(1,705,873)	(2,965,698)
Total other financing sources (uses)	153,007	10,032,386	10,031,333	10,576,536
Net change in fund balances	\$ 1,106,566	\$ 6,020,108	\$ 1,858,045	\$ (3,480,963)

Source: District financial records

Fiscal Year					
2019	2020	2021	2022	2023	2024
\$ (5,235,067)	\$ (7,833,545)	\$ (4,924,468)	\$ 2,608,683	\$ 982,839	\$ (10,950,121)
60,000	-	5,975	12,354	1,342	46,039
32,081,801	-	-	-	-	27,180,000
-	-	-	-	-	1,002,625
-	-	-	27,104	-	201,905
-	-	-	-	27,513	72,624
5,306,374	5,942,616	6,670,799	6,760,411	6,618,831	12,577,203
(5,174,599)	(5,817,595)	(6,457,018)	(6,541,235)	(6,561,092)	(12,527,786)
32,273,576	125,021	219,756	258,634	86,594	28,552,610
\$ 27,038,509	\$ (7,708,524)	\$ (4,704,712)	\$ 2,867,317	\$ 1,069,433	\$ 17,602,489

Pleasant Valley Community School District

**Assessed Value and Taxable Value of Assessed Property
Last Ten Fiscal Years
(Unaudited)**

Valuation Date	Fiscal Year	Taxable Residential Property	Taxable Multiresidential Property	Taxable Agricultural Property	Taxable Commercial Property	Taxable Industrial Property	Taxable Railroads
1/1/2013	2014-2015	976,952,195	-	14,969,358	166,665,644	62,992,936	1,526,075
1/1/2014	2015-2016	1,043,403,312	-	15,247,537	156,483,850	60,456,091	1,224,349
1/1/2015	2016-2017	1,133,691,222	44,926,073	15,015,402	119,039,872	61,893,532	1,732,590
1/1/2016	2017-2018	1,208,406,161	41,798,373	15,550,165	120,102,257	61,586,636	2,071,435
1/1/2017	2018-2019	1,311,230,225	40,880,110	17,944,261	128,368,271	63,522,426	2,340,134
1/1/2018	2019-2020	1,401,196,722	39,937,432	18,164,734	130,992,138	63,504,346	2,393,200
1/1/2019	2020-2021	1,428,289,294	53,886,496	19,313,150	133,890,065	63,423,518	3,114,867
1/1/2020	2021-2022	1,528,268,831	53,109,023	19,825,922	147,026,323	63,751,441	3,242,272
1/1/2021	2022-2023	1,594,006,479	56,939,631	19,502,276	166,788,396	65,823,539	3,204,798
1/1/2022	2023-2024	1,756,807,209	-	20,157,557	159,180,177	66,039,007	3,231,925

Source: Iowa Department of Management and Scott County Auditor.

Notes:

Property is assessed on a calendar year basis. The assessments finalized as of January 1 of each year are applied to the second fiscal year following the tax assessment year.

Prior to FY2017 multiresidential property was included with commercial property and taxed at the same rate. Beginning in FY2017 its rollback percentage is 3.75% less than commercial property. The rollback percentage for multiresidential property will decrease 3.75% per year until it is taxed at the same rate as residential property.

(a) Per \$1,000 of taxable value.

Taxable Utilities Without Gas & Electric	Taxable Utilities Gas & Electric Only	Military Exemption	Total Taxable Valuation Without Tax Increment Financing (TIF)	Tax Increment Financing (TIF)	Total Taxable Value With TIF	100% Assessed Value	Total Direct Rate (a)
18,383,813	53,017,223	2,198,321	1,296,705,565	120,798,737	1,417,504,302	2,355,418,130	14.49409
17,035,377	58,484,070	(2,316,852)	1,350,017,734	133,372,143	1,483,389,877	2,469,017,594	14.34409
15,636,926	58,731,748	(2,285,368)	1,448,381,997	146,892,381	1,595,274,378	2,676,942,475	14.14425
15,160,104	55,030,720	(2,252,032)	1,517,453,819	158,345,603	1,675,799,422	2,777,879,736	13.95589
17,829,924	54,463,164	(2,248,328)	1,634,330,187	134,836,020	1,769,166,207	2,999,567,470	13.65587
18,165,474	52,827,278	(2,211,288)	1,724,970,036	133,107,413	1,858,077,449	3,102,841,240	13.41138
14,607,453	50,758,578	(2,185,360)	1,765,098,061	149,366,560	1,914,464,621	3,275,467,091	13.78152
13,893,146	55,195,991	(2,166,840)	1,882,146,109	150,506,886	2,032,652,995	3,426,217,440	13.76024
14,262,069	65,519,019	(2,113,132)	1,983,933,075	161,514,966	2,145,448,041	3,747,399,810	13.46043
11,595,041	50,442,024	(2,040,904)	2,065,412,036	172,682,322	2,238,094,358	3,942,435,943	13.46055

Pleasant Valley Community School District

Direct and Overlapping Property Tax Rates

Last Ten Fiscal Years

(rate per \$1,000 of taxable value)

(Unaudited)

Fiscal Year	District Direct Rates			Total
	General Purposes	Capital Purposes	Debt Service	
2014-2015	12.82409	1.67000	-	14.49409
2015-2016	12.67409	1.67000	-	14.34409
2016-2017	12.47425	1.67000	-	14.14425
2017-2018	12.28589	1.67000	-	13.95589
2018-2019	11.98587	1.67000	-	13.65587
2019-2020	11.74138	1.67000	-	13.41138
2020-2021	12.11152	1.67000	-	13.78152
2021-2022	12.09024	1.67000	-	13.76024
2022-2023	11.79043	1.67000	-	13.46043
2023-2024	11.79055	1.67000	-	13.46055

Source: Iowa Department of Management and Scott County Auditor.

Overlapping Rates							
Scott County	College Area IX	City of Bettendorf	City of Leclaire	City of Panarama Park	City of Riverdale	Assessor	Other
6.13204	0.92782	12.55000	14.47264	5.26550	12.21629	0.27068	0.07009
6.00377	0.96863	12.55000	14.29804	5.79870	11.90048	0.27052	0.07135
5.82228	1.00909	12.55000	14.29798	5.80468	11.99199	0.23792	0.07089
5.82167	1.03000	12.50000	13.92602	5.80424	11.99735	0.22975	0.07057
5.82167	1.03000	12.50000	13.64999	5.80408	11.84593	0.19523	0.06842
5.99401	0.99000	12.50000	13.35596	5.80405	9.39248	0.18832	0.06740
6.21304	0.82406	12.80000	13.09828	5.97332	9.39665	0.17432	0.06667
6.04197	0.92357	12.80000	12.83631	6.11078	6.03216	0.17298	0.06637
5.95000	0.94542	12.65000	12.64166	5.68321	5.63532	0.19858	0.06621
5.95000	0.94840	12.65000	12.64166	5.65318	8.10001	0.21464	0.06657

Pleasant Valley Community School District

**Principal Property Tax Payers
Current Year and Nine Years Ago
(Unaudited)**

Name of Taxpayer	2024*			2015**		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Arconic Davenport LLC	39,227,674	1	1.8%	37,764,657	2	2.7%
MidAmerican Energy Co.	37,622,899	2	1.7%	45,916,099	1	3.2%
Wellspire-Bettendorf LLC	26,811,104	3	1.2%			
The Bettplex LLC	22,597,554	4	1.0%			
Continental 203 Fund LLC	16,559,341	5	0.7%	20,982,954	3	1.5%
Iowa American Water Company	12,745,675	6	0.6%	7,093,182	10	0.5%
Pebble Creek Borrower 2021 LLC	10,961,019	7	0.5%			
First Equity Management LC	10,797,663	8	0.5%	9,933,884	6	0.7%
Northern Border Pipeline Company	9,693,698	9	0.4%	10,553,889	5	0.7%
Olympic Steel Iowa Inc.	9,224,401	10	0.4%	9,127,839	7	0.6%
Chateau Knoll LLC				11,391,641	4	0.8%
Bettendorf Regency Apartments				8,119,650	8	0.6%
Alter Trading Corp.				7,184,974	9	0.5%
Total	<u>\$ 196,241,028</u>		<u>8.8%</u>	<u>\$ 168,068,769</u>		<u>11.9%</u>
Total Taxable Value	<u>\$ 2,238,094,358</u>			<u>\$ 1,417,504,302</u>		

Source: Scott County Auditor

* - Based on 01/01/2022 Valuations

** - Based on 01/01/2013 Valuations

Pleasant Valley Community School District

Property Tax Levies and Collections

Last Ten Fiscal Years

(Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year	Collected Within the Fiscal Year of the Levy		Collections In Subsequent Years	Total Collections to Date	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2014-2015	\$ 19,075,701	\$ 19,036,014	99.79%	\$ 5,369	\$ 19,041,383	99.82%
2015-2016	19,743,499	19,726,000	99.91%	2,892	19,728,891	99.93%
2016-2017	20,900,338	20,875,864	99.88%	2,381	20,878,245	99.89%
2017-2018	21,622,918	21,622,918	100.00%	-	21,622,918	100.00%
2018-2019	22,695,843	22,675,780	99.91%	5,892	22,681,566	99.94%
2019-2020	23,505,437	23,268,087	98.99%	237,350	23,505,437	100.00%
2020-2021	24,783,708	24,783,708	100.00%	-	24,783,708	100.00%
2021-2022	26,356,996	26,356,996	100.00%	-	26,356,996	100.00%
2022-2023	27,195,528	27,190,995	99.98%	-	27,190,995	99.98%
2023-2024	28,328,738	28,328,738	100.00%	-	28,328,738	100.00%

Source: Iowa Department of Management, Scott County Auditor and School District financial records.

Note: N/A = not available.

Pleasant Valley Community School District

**Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	General Obligation Note	Leases	IT Subscription Obligation	Revenue Bonds	Total Primary Government	Percentage of Personal Income	Per Capita
2015	\$ -	\$ -	\$ -	\$ -	\$ -	0.0%	-
2016	-	-	-	10,000,000	10,000,000	1.3%	466
2017	-	-	-	18,410,000	18,410,000	2.1%	833
2018	-	-	-	25,570,000	25,570,000	2.9%	N/A
2019	18,037,621	-	-	36,680,000	54,717,621	5.9%	2,392
2020	16,258,441	-	-	33,360,000	49,618,441	5.1%	1,905
2021	14,424,261	89,402	-	29,970,000	44,483,663	4.0%	1,728
2022	12,540,081	213,703	24,770	26,515,000	39,293,554	N/A	N/A
2023	10,600,901	139,407	25,948	22,990,000	33,756,256	N/A	N/A
2024	8,601,721	270,577	66,497	47,562,625	56,501,420	N/A	N/A

Source: District financial records

N/A = not available.

Pleasant Valley Community School District

**Ratio of Net Bonded Debt to Assessed Values
Last Ten Fiscal Years
(Unaudited)**

Year of Collection	Actual Value of Taxable Property	Total Primary Government Outstanding Debt	Net Bonded Debt	Amount Restricted for Repayment of Outstanding Debt	Ratio of Net Bonded Debt to Taxable Value	Net Bonded Debt Per Capita
2014-15	\$ 1,413,107,660	\$ -	\$ -	\$ -	-	\$ -
2015-16	1,483,389,877	10,000,000	-	594,338	-	-
2016-17	1,595,277,188	18,410,000	-	381,144	-	-
2017-18	1,675,799,422	25,918,838	-	22,455	-	-
2018-19	1,769,166,207	54,976,768	18,037,621	1,059,583	0	785
2019-20	1,858,077,449	49,794,191	16,258,441	373,438	0.9%	624
2020-21	1,914,464,621	44,483,663	14,424,261	289,304	0.8%	562
2021-22	2,032,652,995	39,268,784	12,540,081	302,213	0.6%	N/A
2022-23	2,145,448,041	33,756,256	10,600,901	388,038	0.5%	N/A
2023-24	2,238,094,358	56,501,420	8,601,721	2,635,205	0.4%	N/A

Source: Iowa Department of Management, Scott County Auditor and School District financial records.

Notes: Details of the District's outstanding debt can be found in Note 5 in the notes to the financial statements.

N/A = not available.

Pleasant Valley Community School District

**Legal Debt Margin Information
Last Ten Fiscal Years
(Unaudited)**

	2014-2015	2015-2016	2016-2017	2017-2018
Legal Debt Margin Calculation				
Assessed value	\$ 2,355,418,130	\$ 2,469,017,594	\$ 2,676,942,475	\$ 2,777,879,736
Debt limit (5% of assessed value)	117,770,907	123,450,880	133,847,124	138,893,987
Debt applicable to limit	-	10,000,000	18,410,000	25,570,000
Legal debt margin	\$ 117,770,907	\$ 113,450,880	\$ 115,437,124	\$ 113,323,987
Total net debt applicable to the limit as a percentage of debt limit	0.00%	8.10%	13.75%	18.41%

Source: Iowa Department of Management, Scott County Auditor's Office and School District financial records.

Legal Debt Margin Calculation for Fiscal Year 2023-2024

Assessed value	<u>\$ 3,942,435,943</u>
Debt limit (5% of assessed value)	\$ 197,121,797
Debt applicable to limit	<u>55,322,074</u>
Legal debt margin	<u>\$ 141,799,723</u>

2018-2019	2019-2020	2020-2021	2021-2022	2022-2023	2023-2024
<u>\$ 2,999,567,470</u>	<u>\$3,102,841,240</u>	<u>\$3,275,467,091</u>	<u>\$3,426,217,440</u>	<u>\$3,747,399,810</u>	<u>\$3,942,435,943</u>
149,978,374	155,142,062	163,773,355	171,310,872	187,369,991	197,121,797
54,717,621	49,618,441	44,394,261	39,055,081	33,590,901	55,322,074
<u>\$ 95,260,753</u>	<u>\$ 105,523,621</u>	<u>\$ 119,379,094</u>	<u>\$ 131,255,791</u>	<u>\$ 153,779,090</u>	<u>\$ 141,799,723</u>
36.48%	31.98%	27.11%	22.80%	17.93%	28.06%

Pleasant Valley Community School District

Direct and Overlapping Governmental Activities Debt

As of June 30, 2024

(Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
Scott County	15,423,595	21.55%	3,323,198
Eastern Iowa Community College	48,765,000	13.33%	6,499,026
City of Bettendorf	137,020,000	54.74%	75,000,030
City of LeClaire	21,490,750	100.00%	21,490,750
City of Riverdale	183,887	99.72%	183,367
Subtotal, overlapping debt			106,496,370
District direct debt			56,501,420
Total direct and overlapping debt			\$ 162,997,790

Source: Scott County Auditor.

Notes:

Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This statistical page estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that when considering the District's ability to issue and repay long-term debt, the entire debt burden borne by the residents and business should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value. (Calculated by dividing the amount of the value applicable to the District by the total value for that taxing authority; 2023 assessed values are used.)

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Pleasant Valley Community School District

**Pledged Revenue Coverage
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Revenue Bonds			
	Revenue	Debt Service		Coverage
		Principal	Interest	
2015	NA	NA	NA	NA
2016	4,182,214	-	92,956	44.99
2017	4,333,461	1,590,000	329,694	2.26
2018	4,415,088	2,840,000	485,652	1.33
2019	5,037,297	2,540,000	299,810	1.77
2020	5,215,928	3,320,000	843,026	1.25
2021	5,117,291	3,390,000	777,884	1.23
2022	6,298,315	3,455,000	709,371	1.51
2023	7,394,675	3,525,000	641,934	1.77
2024	7,320,316	3,610,000	556,941	1.76

Source: District financial records

Notes: Details regarding the District's outstanding debt can be found in Note 5 of the notes to the financial statements.

These bonds are backed by a one-cent statewide sales, service and use tax

Pleasant Valley Community School District

Demographic and Economic Statistics

Last Ten Calendar Years

(Unaudited)

Calendar Year	Population (a)	Personal Income (b) (Thousands of Dollars)	Per Capita Personal Income	Scott County Area Unemployment Rate (c) *
2015	21,288	\$ 768,940,606	36,236	4.7%
2016	21,438	771,396,005	39,996	4.6%
2017	22,101	857,428,967	40,228	3.7%
2018	N/A	889,086,936	N/A	3.1%
2019	22,980	931,566,012	40,538	3.3%
2020	26,042	972,667,111	37,350	7.1%
2021	25,687	1,121,829,278	43,673	5.3%
2022	N/A	1,140,330,903	N/A	3.5%
2023	N/A	N/A	N/A	3.5%
2024	N/A	N/A	N/A	3.7%

Source:

(a) U.S. Census Bureau

(b) Iowa Department of Revenue

(c) Iowa Workforce Development

Notes: N/A = not available.

* Based on a ten-month period, January through October.

Pleasant Valley Community School District

**Full-Time Equivalent District Employees By Type
Last Ten Fiscal Years
(Unaudited)**

	Full-Time Equivalent Employees as of June 30			
	2015	2016	2017	2018
Supervisory:				
Superintendent	1.0	1.0	1.0	1.0
Principals	7.0	7.0	7.0	7.0
Assistant principals	5.0	5.0	5.0	5.0
District secretary	0.4	-	-	-
Business Manager	1.0	1.0	1.0	1.0
Other officials/administrators	2.0	3.0	3.0	3.0
Total supervisory	16.4	17.0	17.0	17.0
Instruction:				
Classroom teachers	217.8	233.4	239.5	244.1
Special education teachers	27.3	28.6	29.0	29.3
Special programs	29.2	19.5	20.5	21.6
Vocational teachers	6.8	7.6	8.5	9.0
Teacher aides	62.8	60.7	66.5	68.7
Instructional technology technicians	3.2	3.3	3.0	3.0
Total instruction	347.2	352.9	367.0	375.7
Student services:				
Social workers	1.0	1.0	1.0	1.0
Counselors	12.6	14.0	13.0	14.0
Library/media specialists	5.5	6.0	7.0	7.0
Nurses	5.6	6.6	6.6	6.9
Total student services	24.7	27.6	27.6	28.9
Support and administration:				
Other support services	-	10.0	10.0	12.0
Office/clerical personnel	28.5	28.4	31.3	32.8
Other professional employees	1.5	2.5	3.5	3.5
Technology specialist	2.0	2.0	3.0	3.0
Crafts and trades personnel	3.5	4.0	3.0	4.0
Laborers	1.5	2.0	2.0	2.0
Service workers	43.8	46.0	44.1	45.9
Operative personnel	1.7	1.7	1.7	1.2
Total support and administration	82.5	96.5	98.6	104.3
Total	470.7	494.1	510.2	525.9

Source: District financial records

Full-Time Equivalent Employees as of June 30						Percentage Change 2015-2024
2019	2020	2021	2022	2023	2024	
1.0	1.0	1.0	1.0	1.0	1.0	0%
7.0	7.0	7.0	8.0	8.0	8.0	14%
5.4	5.5	7.0	8.8	9.0	10.0	100%
						-100%
1.0	1.0	1.0	1.0	1.0	1.0	0%
3.6	3.7	1.6	1.0	1.0	1.0	-50%
18.0	18.2	17.6	19.8	20.0	21.0	28%
247.3	252.2	256.3	273.8	269.8	275.0	26%
30.4	34.8	36.8	38.1	38.5	39.0	43%
22.9	21.3	25.3	29.4	36.6	38.3	31%
8.8	8.5	8.8	9.8	9.8	10.8	60%
71.5	84.3	75.7	95.1	108.0	112.2	79%
3.0	3.0					-100%
383.9	404.0	402.8	446.2	462.8	475.3	37%
1.0	1.0	-	-	-	-	-100%
14.2	14.2	13.6	13.3	13.7	15.7	24%
7.0	7.0	7.0	8.0	8.0	8.0	45%
6.9	6.9	7.0	8.0	8.0	8.0	43%
29.0	29.1	27.6	29.3	29.7	31.7	28%
14.0	13.5	21.4	16.1	18.9	17.9	100%
30.0	27.4	30.6	37.8	36.5	35.7	25%
2.0	2.0	4.0	5.0	5.0	6.0	300%
3.0	3.0	5.0	5.0	5.5	5.6	182%
3.0	5.5	4.9	4.0	5.0	5.0	43%
2.0	2.0	2.0	3.0	4.0	3.0	100%
50.4	48.8	49.9	52.9	55.2	57.3	31%
3.0	3.0	1.7	1.7	3.7	3.1	89%
107.4	105.2	119.5	125.5	133.8	133.7	62%
538.4	556.5	567.5	620.8	646.2	661.7	41%

Pleasant Valley Community School District

**Operating Statistics
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Certified Enrollment	Operating Expenditures	Cost Per Pupil	Percentage Change
2014-2015	4,386	\$ 41,559,208	\$ 9,475	1.84%
2015-2016	4,532	45,391,590	10,016	5.71%
2016-2017	4,746	47,415,560	9,991	-0.26%
2017-2018	4,922	50,735,977	10,308	3.18%
2018-2019	5,037	52,142,032	10,352	0.43%
2019-2020	5,128	53,008,239	10,337	-0.14%
2020-2021	5,244	55,962,993	10,672	3.24%
2021-2022	5,424	61,741,879	11,383	6.66%
2022-2023	5,557	64,759,789	11,654	2.38%
2023-2024	5,538	66,728,017	12,049	3.39%

Source: Nonfinancial information from District records. District financial records.

Governmental Expenditures	Cost Per Pupil	Percentage Change	Teaching Staff	Pupil-Teacher Ratio	Percentage of Students Receiving Free or Reduced Price Meals
\$ 45,224,769	\$ 10,311	-2.72%	303	6.91%	11.00%
58,134,814	12,828	24.41%	321	7.08%	12.00%
65,438,456	13,788	7.48%	320	6.74%	12.00%
73,970,061	15,028	8.99%	326	6.62%	11.00%
67,891,884	13,479	-10.31%	336	6.67%	11.91%
72,327,251	14,104	4.64%	342	6.67%	11.97%
62,058,872	11,834	-16.10%	351	6.69%	12.00%
71,248,693	13,136	11.00%	371	6.84%	14.10%
79,363,895	14,282	8.72%	403	7.25%	12.70%
94,904,696	17,137	19.99%	412	7.44%	13.30%

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Pleasant Valley Community School District

**Principal Employers
Current Year and Nine Years Ago
(Unaudited)**

Employer	2024			2015		
	Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
Davenport School District	2,543	1	2.8%			
Aronic Davenport Works	2,500	2	2.8%			
John Deere Davenport Works	2,000	3	2.2%	838	6	1.0%
Kraft Heinz Co.	1,600	4	1.8%			
Genesis Medical Center Davenport	1,574	5	1.8%			
Tri City Engineering & Integration	1,200	6	1.3%			
Davenport City Hall Civil	981	7	1.1%	800	7	0.9%
Tri City Communications	900	8	1.0%	900	5	1.0%
Eaton	850	9	0.9%			
Genesis Health System	819	10	0.9%	14,100	1	16.1%
Alcoa Inc.				2,000	2	2.3%
Oscar Mayer Foods Corp.				1,600	3	1.8%
Isle Casino Hotel Bettendorf				1,000	4	1.1%
Rhythm City Casino				650	8	0.7%
St. Ambrose University				620	9	0.7%
Sears Manufacturing				600	10	0.7%
Scott County Total Employment (2024)						89,846
Scott County Total Employment (2015)						87,575

Source: Bi-State Regional Commission

Pleasant Valley Community School District

**School Building Information
Last Ten Fiscal Years
(Unaudited)**

School	Fiscal Year			
	2014-2015	2015-2016	2016-2017	2017-2018
Pleasant View				
Square feet	80,913	80,913	80,913	81,513
Capacity*	850	850	850	925
Enrollment	638	632	632	651
Playgrounds	2	2	2	2
Hopewell				
Square feet	64,180	64,180	64,180	64,180
Capacity*	900	900	900	900
Enrollment	468	545	545	650
Playgrounds	1	1	1	1
Cody				
Square feet	45,090	54,709	54,709	60,897
Capacity*	550	625	625	675
Enrollment	315	320	320	361
Playgrounds	1	1	1	1
Bridgeview				
Square feet	47,980	54,654	54,654	54,654
Capacity*	450	575	575	575
Enrollment	342	383	383	391
Playgrounds	2	2	2	2
Riverdale Heights				
Square feet	84,195	84,195	84,195	84,195
Capacity*	800	800	800	950
Enrollment	642	634	634	636
Playgrounds	2	2	2	2
Forest Grove				
Square feet	n/a	n/a	n/a	n/a
Capacity*	n/a	n/a	n/a	n/a
Enrollment	n/a	n/a	n/a	n/a
Playgrounds	n/a	n/a	n/a	n/a
Jr. High				
Square feet	112,405	137,937	137,937	141,777
Capacity*	1,050	1,300	1,300	1,325
Enrollment	672	668	668	745
Playgrounds	-	-	-	-
High School				
Square feet	258,304	258,304	258,304	353,711
Capacity*	1,975	1,975	1,975	2,300
Enrollment	1,307	1,338	1,338	1,442
Playgrounds	-	-	-	-

Source: District records.

Notes: * Capacity calculation is number of possible classrooms times maximum of 25 students each

Fiscal Year					
2018-2019	2019-2020	2020-2021	2021-2022	2022-2023	2023-2024
81,513	81,513	81,513	81,513	81,513	81,513
925	925	925	925	925	925
713	713	673	651	659	691
2	2	2	2	2	2
80,486	80,486	80,486	80,486	80,486	80,486
875	875	875	875	875	875
709	709	696	649	698	716
2	2	2	2	2	2
70,060	70,060	70,060	70,060	70,060	70,060
700	700	700	700	700	700
394	394	445	424	457	467
1	1	1	1	1	1
55,254	55,254	55,254	55,254	55,254	55,254
600	600	600	600	600	600
407	407	366	374	366	363
2	2	2	2	2	2
84,195	84,195	84,195	84,195	84,195	84,195
950	950	950	950	950	950
680	680	659	636	629	662
2	2	2	2	2	2
n/a	n/a	84,195	84,195	84,195	84,195
n/a	n/a	950	950	950	950
n/a	n/a	-	248	328	361
n/a	n/a	2	2	2	2
144,719	144,719	144,719	144,719	144,719	144,719
1,325	1,325	1,325	1,325	1,325	1,325
844	844	824	800	856	942
-	-	-	-	-	-
374,704	374,704	374,704	374,704	374,704	374,704
2,300	2,300	2,300	2,300	2,300	2,300
1,540	1,540	1,541	1,643	1,658	1,779
-	-	-	-	-	-

Pleasant Valley Community School District

**Average Salary by Education Level
Last Ten Fiscal Years
(Unaudited)**

Education Level	Fiscal Year			
	2014-2015	2015-2016	2016-2017	2017-2018
BA				
Total FTE	61.90	65.83	66.50	62.00
Average salary	39,121	39,720	40,822	41,297
BA + 10				
Total FTE	27.00	27.00	21.33	21.33
Average salary	45,400	45,918	48,135	48,655
BA +20				
Total FTE	34.83	40.00	41.00	44.00
Average salary	53,297	52,435	53,220	53,865
MA				
Total FTE	57.70	62.79	72.88	76.69
Average salary	51,279	52,252	53,461	54,254
MA + 10				
Total FTE	39.00	42.00	38.00	35.00
Average salary	59,736	60,762	62,138	62,238
MA + 20				
Total FTE	26.00	25.00	30.00	30.00
Average salary	64,688	65,390	66,154	67,941
MA +30				
Total FTE	59.35	62.00	66.00	74.42
Average salary	65,028	66,649	67,734	69,617
Grand total FTE	305.78	324.62	335.71	343.44
Total average salary	53,416	54,069	52,284	56,855

Source: District personnel records.

Notes:

Full-time instructional employees of the District are employed for all 192 work days, at eight hours per day or 1,536 hours per year. This schedule includes the local instructional salary schedule only. Not included are state appropriations to increase salaries, i.e., Teacher Quality or Phase II Funds.

Fiscal Year					
2018-2019	2019-2020	2020-2021	2021-2022	2022-2023	2023-2024
57.00 41,135	63.00 41,996	72.00 42,411	80.00 42,540	82.00 44,302	82.00 45,335
18.34 50,866	20.33 50,521	18.33 51,141	18.33 48,699	14.33 50,405	17.33 51,183
47.00 52,631	38.00 56,463	41.00 56,025	36.17 57,270	38.00 59,379	34.00 59,129
80.80 53,814	96.26 54,563	87.96 56,597	100.16 57,445	106.66 58,745	109.50 60,371
36.59 60,746	28.09 62,150	37.00 63,148	39.00 64,156	39.00 66,293	43.00 69,309
30.00 67,808	26.00 67,983	25.40 67,195	31.17 67,066	32.00 69,826	33.00 72,692
81.50 69,201	86.59 70,945	87.00 72,955	85.00 73,864	88.00 75,689	92.00 78,284
351.23 55,594	358.26 58,044	368.69 58,740	389.83 58,980	399.99 60,855	410.83 62,794

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Compliance

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Pleasant Valley Community School District

**Schedule of Expenditures of Federal Awards
Year Ended June 30, 2024**

Federal Grantor/Pass-Through Grantor/ Program Title or Cluster Title	Federal Assistance Listing Number	Pass-Through Entity Identifying Number	Provided to Subrecipients	Total Federal Expenditures
U.S. Department of Agriculture:				
Direct:				
Local Food for Schools	10.185	FY24 4911	\$ -	\$ 15,826
Indirect:				
Pass-Through Iowa Department of Education:				
Child Nutrition Cluster Programs:				
School Breakfast Program	10.553	FY24 4552	-	75,469
National School Lunch Program	10.555	FY24 4553	-	625,892
National School Lunch Program-				
Supply Chain Assistance	10.555	FY24 4014	-	148,045
Commodities -DOD (Noncash)	10.555	FY24	-	117,802
Commodities (Noncash)	10.555	FY24	-	118,824
			-	1,010,563
Total Child Nutrition Cluster			-	1,086,032
Team Nutrition Training- Make it Fresh	10.574	FY24 4558	-	279
Total U.S. Department of Agriculture			-	1,102,137
U.S. Department of Treasury:				
Pass-Through Iowa Department of Homeland Security and Emergency Management:				
Coronavirus State and Local Fiscal Recover Funds;				
School Safety Improvement Grant	21.027	FY24 4034	-	18,990
U.S. Department of Education:				
Pass-Through Iowa Department of Education:				
Title I Grants to Local Educational Agencies	84.010	FY24 4501	-	108,752
Special Education Cluster (IDEA):				
Special Education - Grants to States Part B	84.027	FY24 4525	-	47,572 (1)
English Language Acquisition State Grants	84.365	FY24 4644	-	28,186
Supporting Effective Instruction State Grants	84.367	FY24 4643	-	67,925
Student Support Academic Enrichment Program	84.424	FY24 4669	-	11,298
Pass-Through Mississippi Bend Area Education Agency:				
Career and Technical Education- Basic Grants to States	84.048	FY24 4531	-	26,595
Special Education Cluster (IDEA):				
Special Education - Grants to States Part B	84.027	FY24 4521	-	234,218 (1)
Pass-Through State of Iowa Vocational Rehabilitation:				
Vocational Rehabilitation Grants to States	84.126	FY24 4598	-	47,954
Total U.S. Department of Education			-	572,500
Total Expenditures of Federal Awards			\$ -	\$ 1,693,627

(1) Total Special Education Cluster, (IDEA) Special Education - Grants to States Part B Federal Assistance Listing Number 84.027 \$281,790.
See notes to schedule of expenditures of federal awards.

Pleasant Valley Community School District

Notes to the Schedule of Expenditures of Federal Awards Year Ended June 30, 2024

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "schedule") includes the federal grant activity of Pleasant Valley Community School District under programs of the federal government for the year ended June 30, 2024. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of Pleasant Valley Community School District, it is not intended to and does not present the financial position, changes in net position or cash flows of Pleasant Valley Community School District.

Note 2. Summary of Significant Accounting Policies

Expenditures reported on the schedule are reported on the modified accrual or accrual basis of accounting. Such expenditures are recognized following the cost principles in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Therefore, some amounts presented in this schedule may differ from amounts presented in or used in the preparation of the basic financial statements. Revenue from federal awards is recognized when the District has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal awards is recognized when it is both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred.

Note 3. Indirect Cost Rate

The District has elected not to use the 10-percent de minimus indirect cost rate allowed under the Uniform Guidance.



Pleasant Valley Community School District

**Summary Schedule of Prior Audit Findings
Year Ended June 30, 2024**

Findings		Status	Corrective Action Plan or Other Explanation
Findings Pertaining to Statutory Reporting:			
IV-H-23	There were variances in certified enrollment submitted to the state in October 2022.	Not corrected.	Student data changes were not timely communicated to the District. See response and corrective action plan at IV-H-24.
IV-J-23	The District exceeded the District's depository resolution.	Corrected.	

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**Independent Auditor's Report on Internal Control Over
Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in
Accordance With *Government Auditing Standards***

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*), the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Pleasant Valley Community School District (the District) as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated November 19, 2024.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of Pleasant Valley Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that have not been identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of noncompliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2024 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

The signature is written in a cursive, handwritten style. It reads "Bohnsack & Frommelt LLP". The ampersand is stylized, and the letters are fluidly connected.

Moline, Illinois
November 19, 2024



**Independent Auditor's Report on Compliance For Each
Major Federal Program and Report on Internal Control
Over Compliance Required by the Uniform Guidance**

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Pleasant Valley Community School District's (the District) compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2024. The District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, Pleasant Valley Community School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2024.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error; as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we

- exercise professional judgment and maintain professional skepticism throughout the audit,
- identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
November 19, 2024

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Pleasant Valley Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2024**

I. Summary of the Independent Auditor's Results

Financial Statements

Unmodified

Type of auditor's report issued:

Internal control over financial reporting:

- Material weakness(es) identified?
- Significant deficiency identified?
- Noncompliance material to financial statements noted?

☐ Yes ☒ No
☐ Yes ☒ None Reported
☐ Yes ☒ No

Federal Awards

Internal control over major programs:

- Material weakness(es) identified?
- Significant deficiency identified?

☐ Yes ☒ No
☐ Yes ☒ None Reported

Type of auditor's report issued on compliance for major programs:

Unmodified

- Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)?

☐ Yes ☒ No

Identification of major programs:

Federal Assistance

Listing Number	Name of Federal Program or Cluster
Child Nutrition Cluster:	
10.553	School Breakfast Program
10.555	National School Lunch Program
10.555	National School Lunch Program- Supply Chain Assistance Funds
10.555	Commodities- DOD (Noncash)
10.555	Commodities (Noncash)

Dollar threshold used to distinguish between type A and type B programs: \$750,000

Auditee qualified as low-risk auditee?

☒ Yes ☐ No

Pleasant Valley Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2024**

Part II: Findings Related to the Basic Financial Statements

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part III: Findings and Questioned Costs for Federal Awards

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part IV: Other Findings Related to Statutory Reporting

IV-A-24

Certified Budget – Expenditures for the year ended June 30, 2024 did not exceed the amounts budgeted at year-end.

IV-B-24

Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

IV-C-24

Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-24

Business Transactions – No business transactions between the District and District officials or employees were noted.

IV-E-24

Restricted Donor Activity – No transaction were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

IV-F-24

Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

IV-G-24

Board Minutes – No transactions requiring Board approval which had not been approved by the Board were noted.

(Continued)

Pleasant Valley Community School District

Schedule of Findings and Questioned Costs Year Ended June 20, 2024

IV-H-24

Certified Enrollment –

Finding: The District identified variances in certified enrollment submitted to the state in October 2023.

Recommendation: We recommend the District review certified enrollment data for accuracy prior to submission to the state.

Response and Corrective Action Plan: The District will continue to review data prior to submission.

Conclusion: Response accepted.

IV-I-24

Supplementary Weighting – No variances regarding the supplementary weighting certified to the Iowa Department of Education were noted except the following:

Finding: The District identified variances in supplementary weighting submitted to the state in October 2023.

Recommendation: We recommend the District review supplementary weighting data for accuracy prior to submission to the state.

Response and Corrective Action Plan: The District will continue to review data prior to submission.

Conclusion: Response accepted.

IV-J-24

Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

IV-K-24

Certified Annual Report – The Certified Annual Report was certified to the Iowa Department of Education timely and we noted no significant deficiencies in the amounts reported.

IV-L-24

Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

IV-M-24

Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education.

(Continued)

Pleasant Valley Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 20, 2024**

IV-M-24 (Continued)

For the year ended June 30, 2024, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

Beginning balance	\$ 14,264,402
Revenue / transfers in:	
Statewide sales and services tax revenue	7,320,316
Interest and other	511,414
Issuance of long term debt	27,180,000
Premium on issuance of long term debt	1,002,625
Transfer in	358,613
Expenditures/transfers out:	
Transfers out	9,819,685
Instruction	65,960
School infrastructure	13,902,729
Debt service, fees	485,567
Ending balance	<u><u>\$ 26,363,429</u></u>

For the year ended June 30, 2024, the District reduced the debt service tax levy by \$3.27 per \$1,000 of taxable valuation as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

	Per \$1,000 of Taxable Valuation	Property Tax Dollars
Debt service levy	\$ 3.27078	\$ 7,320,316



Pleasant Valley Community School District

**Corrective Action Plan
Year Ended June 30, 2024**

Number	Comment	Corrective Action Plan	Completion	Contact Person
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Findings Pertaining to Statutory Reporting:

IV-H-24	There were variances in certified enrollment submitted to the state in October 2023.	See response and corrective action plan at IV-H-24.	June 30, 2025	Mike Clingingsmith
IV-I-24	There were variances in supplementary weighting submitted to the state in October 2023.	See response and corrective action plan at IV-I-24.	June 30, 2025	Mike Clingingsmith